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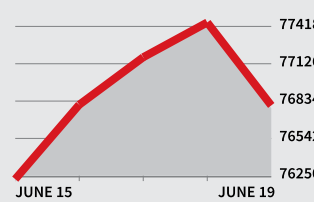
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the hindu businessline

SENSEX 76802.90 (+1274.95)



IN FOCUS

	Week's close	Week's change
Nifty 50	24013.10	+390.20
P/E Ratio (Sensex)	20.76	+0.35
US Dollar (in ₹)	94.32	-0.79
Gold Std 10 gm (in ₹)	144390.00	-2818
Silver 1 kg (in ₹)	231973.00	-10609



CORPORATE FILE.

TVS, Maruti, Tata and Mahindra

outpaced industry growth in FY26, driven by SUVs, EVs, exports and premiumisation **p7**

SPARK.

Faster deliveries and wider choice position rapid commerce as an emerging channel **p8**

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Centre plans to set up seven defence manufacturing clusters

LOCALISATION DRIVE. States and UTs backed by IITs to form thematic hubs

Dalip Singh
New Delhi**BUILDING BLOCKS.** Federal architecture for defence manufacturing aimed at reducing import dependence REUTERS

For the first time, the Centre is working towards creating clusters of States and Union Territories, each backed by dedicated IITs and other centres of excellence, to build a federal architecture for defence manufacturing aimed at reducing import dependence and boosting economic growth. The seven proposed clusters are independent of the existing defence industrial corridors in Uttar Pradesh and Tamil Nadu.

“The Ministry of Defence’s whole-of-nation proposal is at an advanced stage of consideration. Defence Production Secretary Sanjeev Kumar has already held two stakeholder meetings, on June 2 and June 10. All seven clusters were formalised and assigned themes for preparing roadmaps or vision documents,” an official source told *businessline*.

POLICY ROADMAP

The clusters have been asked to submit reports by next month, detailing their contribution to the thematic agenda, pain points, infrastructure needs, regulatory

requirements and ease-of-doing-business measures. Based on these inputs, the Centre is expected to deliberate on policy interventions to strengthen defence manufacturing and the broader economy. “This will generate direct value addition and wider macroeconomic benefits, acting as an ‘output GDP multiplier’ whereby every rupee spent in defence manufacturing creates more than double the economic activity across the country,” the official said.

CLUSTER FRAMEWORK

Each cluster has a lead State, co-lead State, participating States or UTs, and designated IITs and centres of excellence to provide R&D and innovation support.

Karnataka leads the first cluster, with Rajasthan as co-

lead and Kerala and Chhattisgarh as participating States. IIT Bengaluru, IIT Dharwad, IIT Jodhpur, IIT Palakkad and IIT Bhilai will support the theme: “Policy, Institutional Architecture and Governance”. The second cluster, themed “Indigenisation & Enhanced Private Participation, MSME, Start-up & Innovation Ecosystem”, is led by Maharashtra with Madhya Pradesh as co-lead and Goa and Puducherry as participating UTs. Institutional partners are IIT Bombay, IIT Indore and IIT Goa.

The third cluster is led by Uttar Pradesh, with Jharkhand as co-lead and Uttarakhand and Jammu & Kashmir as participants. IIT Kanpur, IIT-BHU, IIT Roorkee and IIT Jammu will support the theme: “Testing,

Certification, Quality Assurance and Standards”.

Assam leads the fourth cluster, focused on northeastern and border States, with Tripura as co-lead and Arunachal Pradesh, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim and Ladakh participating. IIT Guwahati is the institutional partner.

The fifth cluster, themed “Market Access, Demand Visibility & Defence Export”, is led by Telangana with Haryana as co-lead and Delhi, Chandigarh, Dadra & Nagar Haveli and Daman & Diu as participants. IIT Hyderabad and IIT Delhi are stakeholders.

Gujarat leads the sixth cluster, with Odisha as co-lead and Himachal Pradesh and Bihar participating. IIT Gandhinagar, Rashtriya Raksha University, IIT Bhubaneswar and IIT Mandi will support the theme: “Skill Development & Industry-Academia-Research & Innovation Linkages”.

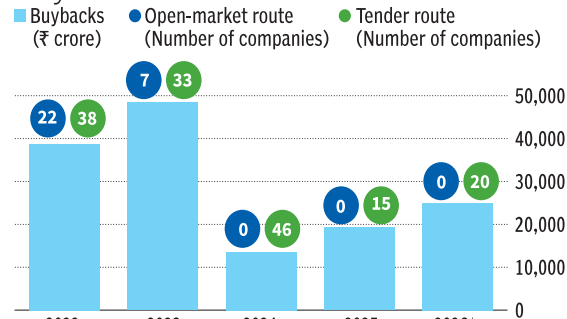
The seventh cluster, led by Tamil Nadu with Andhra Pradesh as co-lead, will focus on “Defence Industrial Infra, Clusters & Common Facilities” with support from IIT Madras, Tirupati and Ropar.

Also read **p2**

Open-market buybacks set to surge as cash returns hit three-year high

Akshata Gorde
Mumbai

Buyback trend



Source: SEBI website, Primedatabase *2026 data is year-to-date.

The Securities and Exchange Board of India (SEBI) has reinstated the more flexible stock exchange route for open-market buybacks by listed companies, at a time when India Inc is stepping up capital returns to shareholders, with buyback announcements this year already surpassing the full-year totals of the previous two years.

Companies have announced buybacks worth nearly ₹25,000 crore so far in 2026, compared with ₹19,175 crore in 2025 and ₹13,539 crore in 2024, according to Prime Database. The figure is already the highest since 2023, when companies announced buybacks worth ₹48,452 crore before the exchange route was phased out.

Unlike the existing tender offer route, where companies repurchase shares at a fixed price during a specified offer period, the stock exchange route allows purchases directly from the market at prevailing prices over a defined period.

REFORM IMPACT

“SEBI’s decision to allow two buybacks in a year aligns the regulations with the Companies Act Amendment Bill, 2026, and provides listed companies greater flexibility in capital management, which is critical when India Inc has already announced buybacks worth ₹25,000 crore in 2026 so far, the highest since 2023,” said Makarand M Joshi, Founder Partner at MMJC & Associates.

Pulkit Sukhramani, Partner at JSA Advocates & Solicitors, said: “Companies seeking to consolidate own-

ership and enhance stock value may find the open market buyback route particularly advantageous. Buybacks conducted through stock exchanges not only reduce administrative burdens but also provide greater flexibility regarding both timing and pricing.”

SEBI’s board on Friday approved reintroducing the stock exchange route for open-market buybacks from August 1 after phasing it out over the past three years. While 22 companies used the exchange route in 2022 and seven opted for it in 2023, all buybacks announced in 2024, 2025 and 2026 have been through the tender offer route.

REVISED FRAMEWORK

The earlier tax framework had made the mechanism unattractive since investors participating in buybacks were taxed at dividend tax rates, making it less attractive than selling shares on the secondary market, where capital gains tax applied. Subsequent changes to the tax framework restored capital gains treatment for most investors participating in buybacks, removing one of the key reasons the mechanism had fallen out of favour.

The mechanism returns

with tighter safeguards, including a shorter execution window of 66 working days instead of six months, a requirement to complete at least 40 per cent of the proposed buyback during the first half of the offer period, enhanced disclosures and restrictions on purchases from promoters and promoter group entities.

Companies will also have the option to undertake buybacks without appointing a merchant banker, with the related responsibilities being shared among the company, its compliance officer, statutory auditor, secretarial auditor and stock exchanges.

BUYBACK BUZZ

The pipeline includes Wipro’s ₹15,000-crore buyback, Bajaj Auto’s ₹5,633-crore offer and Zyklus Lifesciences’ ₹1,100-crore proposal, along with offers from Cyient, TeamLease Services, Kajaria Ceramics, Rolex Rings, Dhanuka Agritech, Cybertech Systems and Gandhi Special Tubes.

Market participants said the revival gives companies announcing buybacks after August an additional execution option, although it is too early to assess how widely the exchange route is adopted.

Over 20 lakh take NEET-UG re-exam amid tight security

Our Bureau
New Delhi

More than 20 lakh candidates took the NEET-UG re-examination on Sunday across 5,440 centres in India and 14 centres abroad under enhanced security and logistics measures.

The National Testing Agency (NTA) said Aadhaar-based biometric and face authentication, CCTV monitoring, jammers and two-layer frisking with the support of State Police were put in place across centres for efficient and transparent conduct of the examination.

About 7 lakh officials, including police teams, observers and examination staff, were mobilised in 37 days across India to conduct this examination, it added.

NATIONAL LEVEL

“Command and control centres for CCTV monitoring were established at the national level at the NTA and the Ministry of Education, at 34 centrally-funded institutions of the Department of Higher Education and in every State, and at district collectorates,” NTA added.

During the day, Education Minister Dharmendra Pradhan also visited NTA HQ to review arrangements. Multiple Central and state departments were involved as part of “the whole-of-government effort”.

Extensive arrangements were also made for 10,000 students with disabilities and around 81 candidates with medical conditions. Among them was a child involved in a road accident, and a child who is undergoing chemotherapy, NTA said.

Agencies reported that Prime Minister Narendra Modi delayed his departure from the airport to facilitate the smooth movement of students towards examination centres. The earlier exam held on May 3 was scrapped following paper leak allegations.

MONDAY SPECIALS.

CLEANTECH

RoW issue is killing us: Wind energy industry



By the looks of it, 2025-26 was a dream year for the wind industry. A record 6.05 GW of fresh wind power was installed. So, all is well in the industry? Not at all. At the Global Wind Day conference held in Goa, the mood among participants was anything but celebratory. Every speaker harped on the same subject: Right of way, or RoW, challenges. This complaint is years old, but they say it has now assumed serious proportions. **p6**

CURRENT ACCOUNT

Small banks hold on to upgrade plans

The recent statements of the chiefs of Ujjivan SFB and Jana SFB give the impression that they are keeping their eyes firmly on the prize. The RBI returning their application for voluntary transition to a universal bank seems to have only hardened their resolve to go the full nine yards to achieve their goal. Of the 11 SFBs in the country, only three have approached the regulator so far to transition to a universal bank (UB). **p9**

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QUICKLY.
Tata Motors secures orders for 3,400 EVs

Mumbai: Commercial vehicle major Tata Motors said it has secured orders for over 3,400 electric commercial vehicles across freight, logistics and passenger mobility segments. The orders comprising around 2,000 small commercial vehicles and pick-ups, 900 trucks, and 500 buses, cut across a diverse range of applications from e-commerce, logistics, FMCG and FMCD distribution, and intra-city mobility to demanding sectors like cement, steel, mining, and tarmac operations, alongside inter- and intra-city passenger transport. **PTI**

Waaree seals ₹1,225 cr buy of 55% stake in APSPL

Ahmedabad: Waaree Renewable Technologies Ltd (WRTL), the solar EPC arm of Waaree Energies, has completed its ₹1,225 crore acquisition of a 55 per cent stake in Associated Power Structures Pvt Ltd (APSPL), marking one of its largest strategic investments and expanding its presence into transmission infrastructure. **OUR BUREAU**

India aims to be global defence producer, not just a buyer: PM

INDUSTRY PUSH. ‘Nations that manufacture become decisive players on global stage’

Our Bureau
Kolkata

Prime Minister Narendra Modi on Sunday said India does not want to remain merely a buyer in the defence sector as the country seeks to become a major manufacturer and one of the decisive players on the global stage.

Speaking after commissioning three indigenously built naval ships — *INS Agray*, *INS Dunagiri*, and *INS Sanshodhak* — at the Syama Prasad Mookerjee Port in Kolkata, Modi said strong maritime capabilities are the deciding factor for a country’s economic and strategic influence, and India understands this well and is preparing for it.

Designed by the Indian Navy’s Warship Design Bureau and constructed by Garden Reach Shipbuilders & Engineers, these naval ships represent key operational capabilities across



SEA POWER. PM Narendra Modi at the commissioning of three warships at Syama Prasad Mookerjee Port, in Kolkata, along with Governor RN Ravi, Chief Minister Suvenudh Adhikari, and Chief of Naval Staff, Admiral Krishna Swaminathan **ANI**

maritime combat, hydrographic surveying, and anti-submarine warfare.

“The strength of the nation’s defence sector cannot be measured by its dependence on global markets but by its ability to become self-reliant. India seeks to become a producer and a manufacturer, because nations that manufacture become decisive players on the global

stage,” the Prime Minister said, informing that more than 40 indigenously built warships and submarines have been inducted into the Navy over the past few years.

NEW CAPABILITY

Nearly every few weeks the Navy has received a new capability, while 45 major naval platforms are currently under construction.

“These figures are not merely statistics but indicators of India’s industrial capacity and future potential,” Modi said.

Recalling the commissioning of *INS Vikrant*, he said that it had marked the beginning of a new chapter in India’s maritime journey and announced India’s growing naval strength to the world. The journey from *INS Vikrant* to the commissioning of the three vessels today, is not merely a story of new warships but also a reflection of India’s increasing self-reliance, he said.

YOGA DAY

Earlier in the day, the Prime Minister led the nation in observing the 12th International Day of Yoga from Kolkata’s iconic Red Road, where around 35,000 people joined him in performing the morning exercises.

The theme for this year’s celebration is “Yoga for Healthy Ageing.”

Two dead, 62 hurt in ammonia gas leak in TN’s Tiruvallur

Press Trust of India
Tiruvallur

Two women died and 62 were affected following an ammonia gas leak at a private fish meal export factory in Kannigaipair village in Tiruvallur district, about 32 km to the north of Chennai, on Sunday, the Tamil Nadu government said. According to a government press release, Tamil Nadu Chief Minister C Joseph Vijay has directed the formation of a three-member committee with Director of Industrial Safety and Health, Member Secretary, Pollution Control Board and Additional Director of Public Health to enquire and submit an interim report in 24 hours and final report in three days.

Earlier, the police said the death toll was seven, but a CMO release and Health Minister KG Arunraj later put it at two. Speaking to reporters, Arunraj said that ammonia gas leak with an impact of this scale has never happened. “Doctors say we haven’t seen cases with such high levels,” he said.

As Delhi EV Policy 2.0 nears, auto industry for phasing out older 2Ws

S Ronendra Singh
New Delhi



With the current Delhi Electric Vehicle (EV) policy scheduled to expire on June 30, and the proposed draft EV 2.0 policy expected soon, the auto industry has suggested a gradual promotion and continuity in demand incentive disbursement for sustained growth in EV two-wheelers (2Ws).

In the meantime, it has also cautioned that high demand of internal combustion engine (ICE) 2Ws cannot be ignored and banning BS6 compliant 2Ws would cause customer distress.

Sources from the industry told *businessline* that the two-wheeler manufacturers were hopeful of a positive response from the Delhi government in the upcoming final EV policy. Recently, the Society of Indian Automobile Manufacturers (SIAM) wrote to the Delhi Transport Minister, stating “Older, pre-BS IV two-wheelers – vehicles over 10-15 years old – account for nearly 99.5 per cent of particulate matter (PM) emissions from the segment. The focus of the policy should therefore be on aggressive removal of these older vehicles,” it had said to the Delhi Transport Minister Pankaj Kumar Singh.

The current Delhi EV Policy is scheduled to expire on June 30, 2026 and it is expected to be replaced by the updated Delhi EV Policy 2.0 (valid until March 31, 2030), which is pending Cabinet approval.

HIGH DEMAND USERS

The proposed draft EV Policy 2.0 is undergoing public consultations and is slated to bring strict mandates, including a proposed ban on new petrol two-

wheelers by April 2028 and CNG three-wheelers by 2027.

SIAM said for high-demand users such as delivery workers or long-distance commuters the current EV technology cannot match the price, range and load bearing of ICE engines. These specific use cases account for around 65 per cent of all two-wheeler sales in both Delhi and India, thus banning BS-VI compliant ICE 2Ws would cause customer distress.

It said modern BS-VI two-wheelers (post April 2020) are fitted with electronic port fuel injection and three-way catalytic converters, and emit close to zero PM – which is what determines air quality index (AQI). Banning their registration will not materially improve Delhi’s air quality, it added. According to SIAM, 2Ws contribute 7 per cent of PM 2.5 emissions, well behind construction (30 per cent), industry (15 per cent) and commercial vehicles (15 per cent). Within the 2Ws, the share of population of vehicles on road from before BS-IV (i.e. BS-I, BS-II, BS-III) are around 61 per cent. BS-IV came into effect from April 1, 2016/17 and current regulation that is effective from April 1, 2020 is BS-VI which have practically zero PM emissions. As per its data, in Delhi-NCR, there are around 46.40 lakh BS-VI 2Ws as compared to 1.13 crore BS-I-BS-IV 2Ws.

SBI, Telangana land row poses major financial implication for both

G Naga Sridhar
Hyderabad

What began as an ordinary civil dispute between the State Bank of India and the Telangana government over a five-acre parcel in Hyderabad’s Raidurgam area is now snowballing into a confrontation with potentially significant financial implications for both sides.

SBI on Friday secured a stay from the Telangana High Court on the auction of the land by the Telangana In-

dustrial Infrastructure Corporation (TGIC), which had earlier allotted the property to the bank.

STATE GOVT UPSET

The legal action by the country’s largest lender has not only disappointed the State government but has also triggered concerns over the possible fallout for both the bank and the government. According to senior government officials, the litigation has come at a time when the cash-strapped State is attempting to mobilise re-



sources and is being viewed as an attempt to impede those efforts. “While the issue of ownership and the auction is now *sub judice*, other options are being

worked out to express the Government’s displeasure,” a senior official told *businessline*.

According to government records, the land was allotted to SBI in 2010 by the erstwhile Andhra Pradesh Industrial Infrastructure Corporation (APIIC) in undivided Andhra Pradesh. After the formation of Telangana in 2014, the State Government repeatedly reminded the bank to commence construction on the site, failing which the land would have to be repos-

sessed in accordance with the allotment norms.

TGIC subsequently approached the Government in 2019 and 2020 seeking approval to repossess the land. Despite a final notice issued in 2020, SBI did not commence construction.

The corporation eventually auctioned the land for a record ₹237 crore an acre. SBI challenged the move, contending that the land had been acquired through an outright sale without any conditions.

The face-off assumes sig-

nificance as SBI is the principal banker for the State.

Among the options being considered by the State government to register its displeasure is the shifting of some deposits and salary accounts to other banks, a move that could have financial implications for SBI, according to sources. SBI is also the lead bank for Telangana. With the disputed property estimated to be worth ₹1,000 crore, the outcome of the legal battle could result in a substantial financial impact for either.

No truth in claims of missing coal stock, product under multilayered security: SCCL

Our Bureau
Hyderabad

The Singareni Collieries Company Ltd (SCCL) on Sunday dismissed recent allegations that coal stocks had gone missing, saying there was “no truth” in the claims.

In a statement issued here, the SCCL said all processes related to coal production, stock maintenance, transportation, and sales were being carried out with complete transparency under the supervision of advanced technological systems and ‘robust’ coal transportation, security, and monitoring mechanisms were currently in place across the organisation.

“From the moment coal is produced in the mines until it reaches the end consumer, every stage is digitally recorded and monitored. Approx-



COAL DISPUTE. Allegations that coal has been stolen or has gone missing are completely baseless and far removed from the facts, the SCCL management said

imately 85 percent of the coal is transported through railways, while the remaining 15 per cent is supplied through road transport,” it said.

“Coal allocations are made through an integrated SAP-based system. Details such as consumer, mine, quantity, and supply schedule are digitally recorded in advance. Information pertaining to every tonne of coal

is continuously monitored through Coal Net, SAP, and other online systems,” it said.

CLOSE WATCH

Every vehicle transporting coal by road was weighed at electronic weighbridges and the vehicle movements are monitored in real time through Radio Frequency Identification (RFID)-based boom barriers, GPS/GPRS

tracking systems, and geofencing technology, SCCL said.

“Any deviation from designated routes is immediately detected and monitored through the system. Loading and dispatch details of every railway wagon are also digitally recorded. CCTV surveillance, RFID systems, check-posts, flying squads, and security personnel maintain round-the-clock monitoring at mines, Coal Handling Plants (CHPs), weighbridges, railway sidings, stockyards, and entry-exit points,” it said, adding that surprise inspections and special security patrols are being conducted on a continuous basis.

The coal production and transportation are being carried out under a multilayered electronic and physical security framework and task force monitoring systems, SCCL said.

Volta crosses 1 m mark in AC sales early in Q1 FY27

Our Bureau
New Delhi

Volta Ltd on Sunday said that it has crossed the milestone of 1 million air conditioner sales in Q1 FY27. Mukundan Menon, Managing Director, Volta Ltd, said: “Crossing the one million sales milestone within the first three months of a financial year is a significant achievement for Volta. This number further reinforces Volta’s position as India’s No. 1 AC brand and reflects the strength of our product portfolio, distribution network and consumer centric approach.”

Jayant Balan, Head, Room AC Business, Volta Ltd, added: “Our refreshed product portfolio, market segmentation and impactful consumer communication initiatives enabled us to connect effectively with consumers across segments and geographies.”

Coal gasification norms to be finalised in 2 months: Union Coal Minister

T E Raja Simhan
Chennai



Union Coal and Mines Minister G Kishan Reddy **BUJOY GHOSH**

The Centre will finalise guidelines for its coal gasification incentive scheme within two months, paving the way for fresh investments in projects aimed at reducing India’s dependence on imported fuels and chemicals, Union Coal and Mines Minister G Kishan Reddy told *businessline* on Sunday.

Reddy said the Scheme for Promotion of Surface Coal Gasification Projects involves a financial outlay of ₹46,000 crore. The scheme marks a major step towards accelerating India’s coal gasification programme, advancing the national target of gasifying 100 million tonnes of coal by 2030, strengthening energy security, and reducing dependence on imports of key products such as LNG (more than 50 per cent imported), urea (20 per cent

imported), ammonia (100 per cent imported), and methanol (80-90 per cent imported), he said.

The draft framework has undergone stakeholder consultations, including discussions with industry players held in Mumbai on Friday, he said at the BJP Tamil Nadu headquarters. He was in Chennai to highlight the party’s achievements under Prime Minister Narendra Modi. Companies would also be eligible for long-term coal

linkages of up to 30 years. Foreign companies can participate through Indian-registered entities, either independently or through joint ventures, he added. Reddy expects more than 35 companies to enter the sector in the coming months. Five of the eight companies selected under the first phase of the incentive programme have already started work, he said.

On Saturday, Narendra Modi laid the foundation stone for a ₹25,000-crore coal gasification project in Odisha, among largest such investments in the country.

CRITICAL MINERALS

On NLC India diversification, he said the company has partnered with the BARC to extract rare earth elements from fly ash generated at lignite-based power plants. A pilot project is underway and could lead to commercial production in Tamil Nadu within a year.

Yoga Day in J & K’s small towns reflects India’s wellness push in once conflict-affected regions

Gulzar Bhat
Srinagar

With yoga mats in their hand, hundreds of residents gathered at the District Magistrate’s office in Jammu and Kashmir’s Shopian district, about 50 km south of Srinagar, as the morning sun broke on Sunday to mark International Yoga Day.

While International Yoga Day is celebrated annually, its growing popularity and acceptance in small towns like Shopian, which has witnessed a long-drawn-out conflict, marks a shift towards mental well-being and healthier lifestyles. .

NUMEROUS BENEFITS

“I did not come here for mere symbolism. Yoga has numerous benefits, particularly when it comes to men-

tal health”, said Javed Ahmad, a participant.

Small towns like Shopian, Pulwama, Tral and Kulgam in south Kashmir have frequently witnessed stone-pelting incidents and encounters between security forces and militants, with many residents seeing their homes go up in smoke during the fighting and other forms of violence, leaving them to cope with psychological scars of prolonged conflict.

“Although the situation has changed post-2019, people are still grappling with post-traumatic stress disorder (PTSD) and other mental health challenges”, said a local psychologist, who did not wish to be named. He said yoga could play a significant role in improving mental well-being in a region that has endured years of



SHARED WELLNESS. Participants at the International Yoga Day celebration at the Valley’s Shopian district

conflict. Mental health research over the past decade has highlighted the extent of psychological distress in Kashmir.

A 2024 community-based study published in the Journal of Family Medicine and Primary Care found that 11.3 per cent of adults in

Kashmir were living with a mental illness, with depression the most common disorder.

The researchers also reported that only 12.6 per cent of those affected had sought treatment, highlighting a substantial gap in mental healthcare access.

On eve of Bengal Budget, industries hope State lays out roadmap for accelerating economic growth

Mithun Dasgupta
Kolkata

With West Bengal Finance Minister Swapan Dasgupta set to present the first Budget of the new BJP government on Monday, industry bodies and companies are genuinely optimistic, expecting it to be growth-oriented and laying out a clear roadmap for accelerating the State’s economic growth.

“Industry looks forward to a progressive and growth-oriented Budget that reinforces investor confidence through continued focus on infrastructure development, fiscal prudence, ease of doing business and industrial competitiveness,” said Mehul Mohanka, Chairman, CII Eastern Region.

“As the State advances its growth agenda, targeted sup-



Swapan Dasgupta, Finance Minister (file picture)

port for high potential sectors such as advanced manufacturing, pharmaceuticals, electronics, engineering, food processing, digital services, renewable energy and tourism can help attract fresh investments. It will help create employment opportunities and enhance export competitiveness,” Mohanka told *businessline*. ASSOCHAM expects the

Budget should focus on creating a conducive environment for investment, employment generation and industrial expansion, prioritise infrastructure development.

MINERAL EXPLORATION

“A policy framework that encourages scientific exploration for minerals, faster clearances, technology adoption and downstream value-added industries will help bring in fresh investments and strengthen the State’s industrial base,” said Sanjiv Ganeriwalla, Chairman, Mining Sector East ASSOCHAM. Aditya Vardhan Agarwal, Director, Emami Group, told *businessline* “A bold commitment to infrastructure, spanning highways, economic corridors and the long-overdue airport expansion, will

not only improve connectivity but signal to the world that West Bengal is open, ambitious and ready for investment.”

Prithish Chowdhary, Deputy MD, Titagarh Rail Systems, said investors want ready land, infrastructure and utilities, and faster execution.

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thehindu **businessline**.

Commerce Dept plans export roadmaps for 20 priority markets

TRADE STRATEGY. Eyes \$1 trillion export target by FY31; seeks industry inputs

Amiti Sen
New Delhi

The Department of Commerce is preparing detailed export strategy papers for 20 shortlisted focus markets, identifying product-specific opportunities and challenges as well as market-specific interventions as part of a broader effort to boost India's merchandise exports to \$1 trillion by 2030-31.

The Department has sought extensive inputs from exporters, industry associations and export promotion councils on issues ranging from tariff barriers and regulatory requirements to logistics bottlenecks, sustainability norms and payment-related concerns, according to sources.

"The exercise is aimed at developing actionable export strategies for each market, with recommendations tailored to specific sectors and products where India has the potential to expand its market share," a source tracking the matter told *businessline*.

At the same time, the Department is working on



GROWTH ENABLER. The consultations are expected to provide a clearer picture of logistics and supply-chain bottlenecks affecting India's export competitiveness

measures to help services exports reach the \$1 trillion mark by 2030-31 for a combined goods and services exports of \$2 trillion.

KEY MARKETS

The 20 priority export markets identified by the government include the US, Brazil, the UK, Germany, France, Italy, the Netherlands, Russia, the UAE, Saudi Arabia, South Africa, China, Japan, South Korea, Australia, Singapore, Indonesia, Vietnam and Bangladesh.

The six high-growth potential sectors include engineering goods, electronics, textiles, pharmaceuticals, chemicals and plastics, and

agriculture and allied products. As part of the consultations, exporters have been asked to rank the most severe obstacles they face, including tariff disadvantages, technical regulations, product standards and certification requirements, difficulties in accessing buyers and distribution networks, price competition, logistics constraints and lack of market intelligence.

"The government is also seeking feedback on whether Indian exporters face a competitive disadvantage against rivals that enjoy preferential access under free trade agreements. This would help it formulate its own free

trade agreement strategies to ensure a level playing field for exporters," the source said.

STRICT COMPLIANCE

A significant focus of the exercise is understanding the impact of increasingly stringent compliance requirements in overseas markets. Exporters have been asked to provide details of challenges related to product testing and certification, traceability mandates, packaging and labelling norms, environmental and social compliance standards, and emerging carbon-reporting obligations.

The Department is also gathering information on whether Indian test reports and certifications are fully accepted abroad or subjected to additional verification.

The consultations are expected to provide a clearer picture of logistics and supply-chain bottlenecks affecting India's export competitiveness, including high freight costs, container shortages, port congestion, trans-shipment delays, long transit times and elevated insurance costs.

Despite war and price rise, real estate could see 10% growth this fiscal: CREDAI President

bl.interview

Shishir Sinha
New Delhi

West Asia war has impacted each sector, and real estate cannot be isolated. In an interview with *businessline*, Shekhar G Patel, President at CREDAI National, said that the price of new projects could see an increase of up to 10 per cent.

Edited excerpts:

What was the impact on the cost due to the West Asia war, and what were the key contributors?

Post the beginning of the war at the end of February, the costs of a lot of raw materials surged.

For example, aluminium, which is a basic raw material, saw an increase of nearly 60 per cent, steel prices went up by 25-30 per cent and cement by 25-30 per cent.

Overall, the cost of construction — and not the cost of the project — has an impact of 15-25 per cent at various places.

Once the war ends, it will take some time to get the benefit of lower crude prices, and when the fuel prices come down, it will take 1-2 months to see the impact.

“Once the war ends, it will take some time to get the benefit of lower crude prices. We expect the cost impact to continue till the end of August, provided the war ends now

SHEKHAR G PATEL
President,
CREDAI National



months or so, then the impact could be very small or even lower in new projects.

Now we have another big problem regarding the monsoon. What kind of impact do you see?

When we talk about the monsoon, we only talk about the impact on the rural economy. But the impact is also on the availability of water, which impacts not just the rural economy or agriculture, but also the industry, so the impact would be everywhere.

Will this have impact on the demand projections?

According to NHB numbers, since 2021, the CAGR (Compounded Annual Growth Rate) has been 10-12 per cent in housing. At the same time, the outstanding loan book of housing, which is 11 per cent of GDP, has gone up from 3 per cent earlier. The outstanding loan book for housing is around ₹37 lakh crore... Here people's income is increasing and the demand for good and better houses is also increasing. The growth rate was around 10 per cent in FY26 and it is likely to be the same this year.

was the impact on the cost of the project?

Every project is unique, and so is its cost structure.

For example, in an affordable housing project, on average, shares of land, construction and margin are 30, 50 and 20 per cent respectively.

As the construction cost is higher, the impact will be greater.

Now, in the case of premium projects, on average, shares of land, construction and margin are 50, 30 and 20 per cent respectively, so here the impact will be low.

Considering all these and if the cost remains during the entire construction cycle, then the impact could be 5-10 per cent.

However, if it is just for six

So, we expect the cost impact to continue till the end of August, provided the war ends now.

If the situation remains normal in August and crude prices come below \$80 a barrel, and the supply chain continues, then I think the construction cost will start to be a little more reasonable.

There is a compulsion in RERA that, for the units that you have already sold, you cannot increase the price. This means the loss that the developer will have to bear, and part of that can be covered by increasing the price of new units. It comes in increments of 2-5 per cent or 7 per cent.

You mentioned the cost of construction, what

Slow refinery capacity additions to hit India's diesel, ATF exports: OPEC

Rishi Ranjan Kala
New Delhi



India's oil demand growth is expected to outpace the growth in refinery capacity additions till 2030, which could lead to a rise in imports of petroleum products and at the same time exports could witness contraction.

The world's fourth largest refiner, with a capacity of more than 258 million tonnes per annum (mtpa), may add around 1.2 mb/d of refining capacity by the end of this decade, OPEC's world oil outlook 2026 revealed.

Despite having the highest capacity additions in the medium term, the downstream market in India is expected to experience a relatively high deficit driven by increased oil demand, it added.

The OPEC report anticipates that India's required refining capacity is set to increase significantly from 0.2 mb/d in 2026 to more than 1.3 mb/d in 2030.

At the same time, net potential incremental refining capacity increases from almost 0.3 mb/d in 2026 to around 1 mb/d in 2030, projects the report.

As a result, OPEC anticipates that the Indian downstream market is expected to shift from a broadly balanced market in 2026 and 2027 to an increasingly tight market from 2028 onwards, as refining capacity additions grow at a slower pace than oil demand.

"The deficit is expected to grow from around 0.1 mb/d in 2028 to approximately 0.4 mb/d in 2030, relative to the base year. Consequently, India's downstream sector is likely to experience higher imports of non-refinery products and possibly reduced refinery product exports over this period, as it is already operating at high utilisation rate," it added.

fining and refined-products export hub, with long-term plans to scale capacity up to 450 mtpa, it added.

REFINERY RUNS

The largest increment in refinery runs is expected in India, said the report.

Refinery throughputs in India are expected to increase steadily from about 5.4 mb/d in 2025 to 10.7 mb/d in 2050, representing growth of 5.3 mb/d.

This growth is evenly distributed throughout the forecast period. However, refinery utilisation rates are expected to drop gradually from around 104 per cent in 2025 to 95.2 per cent by 2050.

TODAY'S PICK.

Godfrey Phillips India (₹2,281.25): BUY

Akhil Nallamuthu
BL Research Bureau

The stock of Godfrey Phillips India has been on a rise since April after it formed a base at ₹1,850.

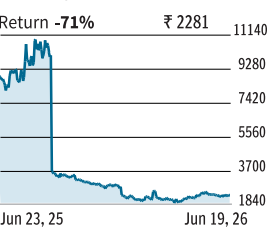
While there was a price correction in the second half of May, so far in June, the price action shows that it has formed another base at a higher level at ₹2,175.

Also, the scrip is now above both 21- and 50-day moving average, which are at ₹2,250.

We expect the stock to resume the rally soon. Once the uptrend starts again, we expect the price to touch ₹2,600.

So, traders can buy now at

Godfrey Phillips



₹2,281 and accumulate at ₹2,200. Place initial stop-loss at ₹2,100. When the stock rises to ₹2,450 and ₹2,550, tighten the stop-loss to ₹2,370 and ₹2,490 respectively. Book profits at ₹2,600.

Note: The recommendations are based on technical analysis. There is a risk of loss in trading.



Mangalore Refinery and Petrochemicals Limited

(A Govt. of India Enterprise and a subsidiary of Oil and Natural Gas Corporation Limited)
Corporate Identification Number - L19200KA1988GOI008959
Regd. Office: Mudapadav, Kuthethoor P.O., Via Katipalla, Mangaluru - 575 030
E-Mail : investor@mrpl.co.in Website : www.mrpl.co.in

NOTICE TO SHAREHOLDERS

TRANSFER OF UNCLAIMED DIVIDEND AND UNDERLYING SHARES TO IEFP

In pursuance to the provisions of Sections 124 and 125 of the Companies Act, 2013 ("the Act") and the Investor Education and Protection Fund Authority (Accounting, Auditing, Transfer and Refund) Rules, 2016 ("the Rules"), as amended from time to time, the Company is required to transfer the equity shares in respect of which dividend has not been paid or claimed for seven consecutive years or more, to the Investor Education and Protection Fund (IEPF), a Fund constituted by the Government of India, under Section 125 of the Act.

The Dividend (2018-19) ("dividend") declared on the shares, lying unpaid or unclaimed since 2019 are due for transfer to the IEPF Authority on September 4, 2026. Individual notices are being sent by the company to all the shareholders concerned to provide them an opportunity to claim their respective unpaid dividends. In case the valid claims are not received from the shareholders concerned on or before September 22, 2026, necessary steps will be initiated by the Company to transfer the shares held by concerned shareholders to the IEPF Demat Account without any further notice. Once these shares are transmitted to the IEPF, all voting rights shall be frozen and all benefits accruing of these shares e.g. dividend, bonus shares, split, consolidation etc, will also be transferred to the IEPF. Accordingly, concerned Shareholders are requested to kindly take note and claim the unpaid dividend.

SHAREHOLDERS HOLDING SHARES IN ELECTRONIC FORM: are requested to submit a self-attested copy of the client master list. Upon receipt of the client master list, payment will be made to the Bank Account registered against the Demat Account.

SHAREHOLDERS HOLDING SHARES IN PHYSICAL FORM: are requested to submit the Investor Service Request, Form ISR-1, Form ISR-2 and Form SH-13 (Nomination Form) duly filled as per the instructions stated therein along with the supporting documents including an original cancelled cheque stating your name (as the account holder) to the MUFG Intime India Private Limited (RTA) of the Company, at the earliest.

As per the SEBI circulars issued from time to time, outstanding Dividend will be credited directly to your bank account only if the folio is KYC compliant. Please note that no payment can be made in absence of complete bank details registered against your account.

The details of shareholders whose dividend and shares are liable to be transferred as aforesaid, is also available on the website of the Company at:

<https://mrplapps.mrpl.co.in/unclaimedDividend/>

Kindly write to RTA at the below address for claiming the Unpaid Dividend on or before September, 22, 2026, failing which the said Unpaid Dividend and the underlying shares, in respect thereof, shall be transferred to IEPF, without further notice, in accordance with the Act and the Rules. Please note that no claim shall lie against the Company or its RTA in respect of the shares transferred to IEPF.

MUFG Intime India Private Limited.,

C-101, 247 Park, LBS Marg, Vikhroli (West), Mumbai – 400083, Tel: No.: (022) 49186280, E-mail: investor.helpdesk@in.mrms.mufg.com,

Those Shareholders whose Unpaid Dividend(s)/equity share(s) of the company have been transferred to the IEPF, may lodge their claim by making an online Web application IIEPF-5 to the IEPF Authority. The detailed procedure for filing the said claim is available on the website of the IEPF Authority at <https://www.iepf.gov.in/IEPF/refund.html>

Saksham Niveshak - Second 100-Day Campaign:-

Further, pursuant to Investor Education and Protection Authority (IEPFA), Ministry of Corporate Affairs (MCA) communication dated 27th March 2026, Mangalore Refinery and Petrochemicals Limited is pleased to inform about the commencement of Second 100-Day Campaign, a special outreach initiative titled "Saksham Niveshak", starting from **1st April 2026 to 9th July 2026**. The campaign is aimed at enhancing shareholder awareness and encouraging timely completion of KYC formalities including updating PAN, bank account details, contact information and nomination, and to facilitate claim of any unpaid or unclaimed dividends so as to avoid the transfer of such dividends and the corresponding equity shares to the IEPF, in accordance with the provisions of the Companies Act, 2013 and the Rules framed thereunder.

Special Window for Re-lodgement of Transfer Requests of Physical Shares:- Shareholders are informed that, in continuation of SEBI's earlier circular dated **July 02, 2025**, which opened a special window for re-lodgement of transfer deeds of physical shares lodged prior to **April 01, 2019** but rejected/returned due to deficiencies, SEBI has further extended the facility through its subsequent circular dated **January 30, 2026**. The updated circular provides an **one-year special window from February 05, 2026 to February 04, 2027** for shareholders to re-lodge such transfer requests with complete documentation. During this period, the securities that are re-lodged for transfer (including those requests that are pending with the listed company/ RTA, as on date) shall be issued only in demat mode. Due process shall be followed for such transfer-cum-demat requests. Members can contact Company's Registrars and Transfer Agents, M's MUFG Intime India Private Limited for assistance in this regard.

For Mangalore Refinery and Petrochemicals Limited
Sd/-
Premachandra Rao G
Company Secretary

Place: **Mangaluru**
Date: **June 22, 2026**



MANAPPURAM FINANCE LIMITED

Registered Office: W-4/ 638A, Manappuram House, P.O. Valapad, Thrissur, Kerala - 680 567
CIN: L65910KL1992PLC006623, **Ph:** (0487) 3050413, 3050417
Email: cosecretary@manappuram.com, **Website:** www.manappuram.com

NOTICE OF EXTRA ORDINARY GENERAL MEETING, VOTING THROUGH ELECTRONIC MEANS

Notice is hereby given that the Extra Ordinary General Meeting ("EGM") of the Members of the Company is scheduled to be held on Tuesday, July 14, 2026 at 03:30 P.M (IST) through Video Conferencing ("VC")/ Other Audio Visual Means ("OAVM"), to transact the special business as set out in the Notice dated June 18, 2026 convening the EGM ("EGM Notice") in compliance with all the applicable provisions of the Companies Act, 2013 ("Act") and the rules framed thereunder read with General Circulars No. 14/2020 dated April 08, 2020 read with General Circular No. 03/2025 dated September 22, 2025 and other related circulars issued by Ministry of Corporate Affairs ("MCA") ("MCA Circulars") and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 ("Listing Regulations") read with SEBI Master Circular No. SEBI/HO/CFD/CFD-PoD-2/P/CIR/2024/133 dated October 03, 2024 and Circular No. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated December 9, 2020 ("SEBI Circulars"), without the physical presence of the members at a common venue. The proceedings of the EGM will be deemed to be conducted at the registered office of the Company, which shall be the deemed venue of the EGM.

The Company has engaged the services of Central Depositories Services (India) Limited ("CDSL") for providing the facility for remote e-voting, for participation in the EGM through VC/OAVM and for e-voting during the EGM.

In compliance with the aforesaid MCA Circulars and the SEBI Circulars, the EGM Notice have been sent on June 20, 2026 only by electronic mode to all members whose email address(es) are registered with the Company/ Depositories/Registrar and Transfer Agent - MUFG Intime India Private Limited as on June 18, 2026, unless any member has requested for a physical copy of the same. The Company shall send the physical copy of EGM Notice to those members who request the same at cosecretary@manappuram.com mentioning their Folio No./DP ID and Client ID.

The EGM Notice is also available on the website of the company www.manappuram.com and on the website of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively. Further, the EGM Notice is also available for download on the website of CDSL www.evotingindia.com.

Members are hereby informed that in compliance with the provisions of Section 108 of the Act read with Rule 20 of the Companies (Management and Administration) Rules, 2014, as amended, Regulation 44 of the Listing Regulations, the MCA Circulars, the SEBI Circulars and the Secretarial Standards on General Meetings issued by the Institute of Company Secretaries of India, voting on the resolutions as set out in the EGM Notice will be conducted through electronic means by way of remote e-voting before the EGM or e-voting during the EGM.

The remote e-voting period shall commence on Friday, July 10, 2026, at 09:00 a.m. IST and shall end on Monday, July 13, 2026 at 05:00 p.m. IST, after which the facility will be blocked by CDSL and the remote e-voting shall not be allowed beyond the said end date and time.

Members of the Company holding shares either in physical mode or electronic/dematerialised mode as on the cut-off date i.e., Tuesday, July 07, 2026 shall be entitled to cast votes on the resolutions set out in the EGM Notice by remote e-voting or e-voting at the EGM. The voting rights of the members shall be in proportion to the amount paid-up on the equity shares held by a member with the total equity share capital of the Company as on the cut-off date i.e., Tuesday, July 07, 2026. Any person who is not a member as on the cut-off date should treat this notice for information purposes only.

The facility of e-voting at the EGM shall be available only to those members who are attending the EGM through VC/OAVM and who have not already cast their vote through remote e-voting. Members who have already cast their vote by remote e-voting prior to the EGM may attend the EGM through VC/OAVM but shall not be entitled to cast their vote during the EGM.

The process and manner of attending the EGM and casting votes through remote e-voting and voting during the EGM, is given in the notes to the EGM Notice.

Members who have not registered their email address(es) or acquired shares after dispatch of the EGM Notice, and hold shares as on cut-off date i.e., Tuesday, July 07, 2026 can refer the notes to the EGM Notice or can contact the Company at cosecretary@manappuram.com to attend the EGM and / to cast their vote through remote e-voting or e-voting during the EGM. If such a person is already registered with CDSL for e-voting, the existing user ID and password can be used for casting vote.

Members who have not registered / updated their email address(es) are requested to get the same registered /updated with the Company (in case of shares held in physical mode) by writing to the Company at cosecretary@manappuram.com along with details of folio number, name of member, scanned copy of the share certificate self-attested copy of PAN Card and self-attested copy of Aadhar Card or with their depository participants (in case of shares held in dematerialised /electronic mode) with whom they maintained their demat account.

Members may note that:

- once the vote on a resolution is casted by the member, the member shall not be allowed to change it subsequently;
- the members attending the EGM through VC/OAVM shall be counted for the purpose of reckoning the quorum under Section 103 of the Act;
- the members who have casted their vote by remote e-voting prior to the EGM may also attend the EGM but shall not be entitled to cast their vote again;
- the facility for voting through electronic mode shall be made available at the EGM;

The Board of Directors of the Company has appointed Mr. Suresh M V, FCS (Membership no. F9741), Senior Partner, SMS & Co Company Secretaries LLP ("Scrutinizer"), as the Scrutinizer to scrutinize the remote e-voting and e-voting at the EGM.

All documents referred to in the EGM Notice and accompanying explanatory statement shall be available for inspection electronically. Members seeking to inspect such documents can send an email to cosecretary@manappuram.com.

Details of persons to be contacted for any issues / queries / grievances relating to remote e-voting & e-voting during the EGM and attending the EGM through VC/OAVM:

Mr. Rakesh Dalvi, AVP, (CDSL) Central Depository Services (India) Limited, A Wing, 25th Floor, Marathon Futurex, Mafatal Mill Compounds, N M Joshi Marg, Lower Parel (East), Mumbai - 400013 or send an email to helpdesk.evoting@cdsindia.com or call at toll free no. 1800 21 09911.

For Manappuram Finance Limited
Sd/-
Aparna Menon
Company Secretary & Compliance Officer

Place : Valapad
Date : June 21, 2026

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Monsoon worries

Centre, States, banks should be geared up

These are yet early days, but the monsoon has not fared well so far. A 35-40 per cent all-India deficit in June (the IMD has predicted a 10 per cent in deficit all over the country for the season) has already led to a weak start in kharif sowing. This newspaper recently reported that there has been a setback in tur, moong and urad sowing in Karnataka and Maharashtra. To be sure, there is no cause for alarm as far as food supplies are concerned, as the government is estimated to be holding close to five million tonnes in pulses stocks.



According to another report by this newspaper last week, wheat and rice stocks are comfortable, at about 122 million tonnes — at least double the annual requirement for free foodgrain schemes. The future course of the monsoon remains uncertain. Besides, the impact of any monsoon shortfall on output depends on its spatial and temporal distribution. An acute shortfall in irrigated regions is unlikely to be as damaging as a similar event in rainfed areas. In this situation of uncertainty, it is best for all arms of the state machinery — from the Centre to the States and districts, as well as banks — to be prepared. While stocks are comfortable, the rural ecosystem could do with a protective umbrella. To begin with, the recent advancements in micro level forecasting must be put to wider use, so that localised strategies can be firmed up without delay, such as a timely shift in crop planning. The IMD has recently announced a forecast system that will generate ‘block’ level forecasts for half the country.

While it is not easy to shift all of a sudden from a crop like paddy (which requires flooding the fields) to millets or pulses which can be damaged by soil moisture, a transition to direct seeded or drought tolerant varieties of paddy can be carried out. To cope with fertilizer shortages in the wake of the Gulf war, nitrogen-fixing pulses and legumes such as beans and groundnuts must be promoted. Short duration varieties must be prioritised. The most important step to be taken is to make seeds available. Earlier successes in dealing with drought, such as in Latur more than a decade ago, have been attributed to availability of seeds. Drought resistant strains must be made available through an efficient network. Besides seeds, regeneration of water bodies is important. Recent successes in drought-prone Anantapur district, Andhra Pradesh, are noteworthy. Maharashtra too has achieved some success.

At the micro level, district collectors should exercise their powers to declare a crop drought on the basis of field inspection without necessarily waiting for crop cutting experiments. That can activate the weather based insurance apparatus. The Reserve Bank of India, too, should hold awareness programmes and prepare guidelines for bankers. Lower tiers of governance often lack clarity in dealing with such situations. At a macro level, greater outlays for irrigation and agri marketing infrastructure must be woven into capital formation.

OTHER VOICES.

The Guardian

Change must mean more than a new leader

Andy Burnham’s triumph in the Makerfield byelection leaves the prime minister with only two options: fight openly for the Labour leadership, or leave office cleanly. The former Greater Manchester mayor easily saw off Reform UK’s candidate – winning 55% of the vote to his rightwing rival’s 35%. He won largely because he changed the political meaning of voting Labour in Makerfield. With Mr Burnham, the party went from being the unpopular incumbent to being the vehicle for change. The prime minister’s implicit claim that it was Starmerism that beat Reform is not credible. The polling by Persuasion UK in Makerfield shows that Labour won because of Mr Burnham’s personal brand, anti-Starmer signalling and leftwing economic message. Significantly, Mr Burnham’s victory rally speech on Friday connects with the data. LONDON, JUNE 19

讀賣新聞

THE YOMIURI SHIMBUN

Attempts Being Made to Change Status Quo East of Taiwan

China is intensifying its patrol activities by government vessels in the waters east of Taiwan. These waters are an area where the interests of Japan and other relevant countries and regions are closely intertwined. Such moves, which unilaterally escalate tensions, cannot be overlooked. Japan and the Philippines agreed at a summit in May to begin negotiations toward delimiting the maritime boundary of the exclusive economic zone (EEZ) and the continental shelf between the two countries. In response, China has intensified its objections. It claims that the waters east of Taiwan — which are the subject of the Japan-Philippines negotiations — also fall within China’s EEZ, and therefore China’s territorial sovereignty and its maritime interests have been severely infringed upon. TOKYO, JUNE 21

Normative shift in fiscal federalism

FISCAL ISSUES. 16th Finance Commission’s stress on States’ contribution to national GDP could widen inter-State disparities



AMITABH KUNDU

The Constitutional framework of India visualised the Finance Commission as an institution responsible for addressing fiscal imbalances and regional disparities among States. The principle underlying intergovernmental transfers has historically been that States should be enabled to provide reasonably comparable levels of public services at comparable levels of taxation. The equalisation approach was reflected in the recommendations of successive Finance Commissions as well as the broader planning framework pursued by the Planning Commission. Income distance, fiscal disability, infrastructural deficits, and demographic disadvantages were therefore treated as important criteria for horizontal devolution. The Sixteenth Finance Commission marks an important departure from this tradition. By introducing contribution to national GDP as a criterion for devolution, the Commission has brought in a competing principle that rewards economic performance alongside fiscal disability. This article critically examines this normative shift and evaluates its implications for inter-State equity and balanced regional development.

FISCAL FEDERALISM The role of the Finance Commission under Article 280 has traditionally been interpreted in equalisation terms. DK Srivastava, associated with the Twelfth Finance Commission and NIPFP, described equalisation as the guiding principle of transfers in federations. Similarly, the Ninth Finance Commission argued that equitable federal transfers require equal treatment of equals and unequal treatment of unequals. The Planning Commission also treated Finance Commission transfers as instruments for correcting fiscal disabilities and compensating for differences in fiscal capacity and expenditure needs across States. The Lakdawala approach to regional planning viewed transfers as mechanisms for reducing spatial inequalities rather than rewarding existing economic strength. While performance criteria such as tax effort and fiscal discipline were gradually

Evolution of major criteria in horizontal devolution				Table: 1
Finance Commission	Income distance/need	Performance criteria	GDP contribution	
FC10-FC12	Dominant criterion	Limited role	Not included	
FC13-FC15	High weight	Expanded role	Not included	
FC16	Reduced relative importance	Higher emphasis	Included	

Illustrative distributional impact on less developed States				Table: 2
State group	Historical position	Likely impact under FC16	Reason	
Northern backward States	Higher redistributive gains	Relative decline in share	Lower GDP contribution	
North-eastern States	Protected through disability criteria	Potential decline	Reduced equalisation emphasis	
Developed industrial States	Moderate gains	Higher gains	High GDP contribution	

introduced from the Tenth Finance Commission onwards, the dominant orientation of the transfer system remained redistributive justice and equalisation. This benefitted economically weaker and infrastructurally disadvantaged States, including many in northern and north-eastern India.

COMPETITIVE FEDERALISM The Sixteenth Finance Commission has introduced contribution to national GDP as a criterion in horizontal devolution. The rationale offered is that economically advanced States contribute disproportionately to national growth and therefore deserve recognition within the transfer framework. However, this introduces a conceptual contradiction. Income enters the devolution formula both negatively and positively. Through income distance, lower-income States receive larger transfers because low per capita income signifies fiscal disability. Through contribution to GDP, economically stronger States also gain larger transfers because of their higher contribution to national production. The same economic variable thus operates simultaneously as a measure of disadvantage and as a reward for

By rewarding economic strength, the finance panel signals a movement from equalisation-oriented federalism towards competitive federalism

economic strength. This weakens the internal consistency of the equalisation principle and signals a movement from equalisation-oriented federalism towards competitive federalism (Table 1).

STRUCTURAL CONSTRAINTS Several less developed States have recorded relatively high growth rates during the past two decades. However, structural transformation remains incomplete. Manufacturing continues to account for a relatively small share of Gross State Domestic Product, industrial diversification is limited, and urbanisation levels remain below the national average. The growth of small and medium towns, agro-processing centres, and manufacturing clusters has been inadequate. Private investment and foreign direct investment remain concentrated in a few developed States. Consequently, these less developed States continue to depend heavily on public investment financed through transfers and borrowings. A reduction in redistributive transfers may therefore adversely affect capital expenditure on infrastructure, health, education, irrigation, and urban development precisely at a stage when sustained public investment in these is essential for long-term transformation.

GRANTS, CONDITIONALITY The discontinuation of Revenue Deficit Grants (RDGs) represents another important shift. Earlier Finance Commissions used normative assessments of revenue and expenditure to estimate post-devolution deficits and provided grants to bridge a significant part of these gaps.

External sector resilience and domestic concerns

The government has taken several structural measures to counter external volatility, even as inflation poses a risk

Sachin Gupta

Recent developments in West Asia, while showing early signs of stabilisation, have already stress-tested India’s macroeconomic resilience. The episode exposed the economy’s continued sensitivity to external shocks, particularly through energy prices, capital flows, and currency pressures. The rupee had been under pressure due to declining Foreign Direct Investment (FDI) and Foreign Portfolio Investment (FPI), compounded by a surge in crude oil prices and severe supply chain disruptions affecting natural gas and fertilizers. The resulting pressure on the current account deficit (CAD) and the balance of payments has forced the government and the Reserve Bank of India (RBI) to intervene actively to stem dollar outflows and attract fresh capital inflows. While the immediate trigger may be easing, the policy response offers deeper insight: India is not merely reacting to episodic disruptions but actively strengthening its external-sector defences against recurring global volatility. Initial tactical measures, including higher import duties on gold and export

taxes on petroleum products, provided little relief. Recognising the need for deeper structural reforms, the government and the RBI launched a coordinated strategy to attract foreign capital directly.

KEY INITIATIVES (i) Incentivising Foreign Currency Non-Resident (FCNR) deposits to attract stable diaspora capital. The RBI will provide a concessional hedge to commercial banks for mobilising fresh deposits, up to September 30, 2026, with a tenor of 3-5 years, effectively absorbing principal hedge cost for these deposits. RBI has also exempted FCNR(B) deposits from SLR and CRR. This will result in efficiency of up to 4 per cent, and most banks have passed on part of these benefits to depositors by increasing the rates on such deposits by up to 200 bps. RBI has also allowed leverage against these eligible deposits. (ii) Providing a hedge to public sector undertakings (PSUs) and commercial banks for ECB (with maturity between 3-5 years) at a concessional rate of 1.5 per cent. (iii) Eliminating withholding and capital gains taxes on Government Securities (G-Secs) to boost global investor participation. These measures are likely to attract inflows of more than \$50 billion.



EXTERNAL STRESS. Robust response

THE INFLATIONARY PARADOX The primary challenge of this strategy lies in a classic macroeconomic paradox: attracting large dollar inflows requires the central bank to release corresponding rupee liquidity, thereby risking the fuelling of domestic inflation. This liquidity risk is compounded by severe supply-side vulnerabilities. An emerging El Niño threat looms over the monsoon season, heightening the risk of food inflation. Furthermore, the retail economy has yet to absorb the impact of global energy prices fully. State-run oil marketing companies are currently holding back an estimated ₹15-20 per-litre pump price hike. As the government inevitably transitions towards gradual price corrections, broader inflationary pressures will intensify. Consequently,

the RBI is unlikely to ease policy interest rates anytime soon. This domestic stance is linked to global realities, with the US 10-year Treasury yield remaining high at above 4.5 per cent, driven by fiscal expansion and sticky inflation in the world’s largest economy. **RESILIENCE AMIDST UNCERTAINTY** Despite a flat immediate outlook, India’s core economic indicators show remarkable resilience. Corporate profitability is rebounding across key sectors. Bellwether industries like automotive and banking are reporting material improvements, defying tariff overhangs and global trade friction. This corporate strength is anchored by a sturdy Q4 GDP growth rate of 7.8 per cent. Ultimately, India is entering a transient phase with risks of wider fiscal deficits, elevated inflation, and restrained government spending. However, because this crisis is strictly event-driven rather than structural, a resolution to the West Asian conflict could brighten India’s economic horizon just as quickly as it darkened. The writer is Chief Rating Officer & Executive Director at CareEdge Ratings. Views expressed are personal

✉ **LETTERS TO EDITOR** Send your letters by email to bleditor@thehindu.co.in or by post to ‘Letters to the Editor’, The Hindu Business Line, Kasturi Buildings, 859-860, Anna Salai, Chennai 600002.

World Cup lessons

The 2026 FIFA World Cup has once again revived one timeless debate in football about age becoming a burden and experience becoming a weapon. Lionel Messi at 39, continues to influence games not through relentless pace, but through intelligence, positioning and calmness under pressure. Cristiano Ronaldo, despite his legendary status, has so far struggled to impose himself in the same way. His game has always depended more on athleticism and finishing instincts. While Messi has evolved into a

playmaker; Ronaldo is still searching for that next reinvention. **Gregory Fernandes** Mumbai

Focus on cyber security

A 19-year old student recently found big security flaws in the CBSE website which shows a huge problem with how we handle technology. India is rushing to put everything online but completely forgetting to protect it. The website had simple careless mistakes like leaving master passwords in the code for anyone to see. This meant anyone could have changed student marks or leaked

private information. When government groups ignore these warnings or make excuses instead of fixing them they put millions of people at risk. Cyberattacks are rising fast every year and we need to act with greater vigour To fix this the government must hire external experts to test all public websites for bugs on a regular basis. **Vijaykumar HK** Raichur **Monsoon worries** Apropos ‘Climate change could make monsoons’ (June 20). The EL

Nino effect causes monsoon vagaries and lead to either abnormal rainfall or below average rainfall. Efficient groundwater management for irrigation purpose, developing water resilient crops, crop rotation, increasing soil fertility and making modern agricultural practice with precision agriculture are the ways to manage the monsoon variation. **NR Nagarajan** Sivakasi **Welcome diktat** The decision of the Union government to remove cough syrups from Schedule K of the Drugs Rules,

1945— the list of medicines that can be sold without a prescription — is a belated but necessary acknowledgment of a persistent regulatory failure. Cough syrups while recognised as medicines, have benefited from exemptions that enabled their sale through channels subject to weaker oversight than licensed pharmacies. This has fostered a culture of self-medication. Hence there is greater need for stringent monitoring of cough syrup sales. **M Jeyaram** Sholavandan (TN)



A behaviour-first approach

A book of possibilities on Indian businesses

BOOK REVIEW.

Prakash Sharma

At first glance, Biju Dominic’s debut book, *Microstimuli*, sounds like a book on neuroscience. The very first page talks about the fact that 99.99 per cent of the brain’s processes occur beneath the surface of conscious awareness. For some, this may conjure the memetic image of a submerged iceberg. Or of Freud’s murky ‘subconscious’ of suppressed childhood memories and hidden sexual desires. A field where no proof is ever offered and questioning it itself is construed as evidence of some unsolved childhood tension.

But Biju is quick to shoot these pop psychology memes down. He informs us that he will deal purely with what science and data have established about the brain and decision making. It is no secret that one of the biggest concerns around the economic viability of AI Data Centres comes from the calculations of energy consumed vs output delivered. In a telling story, Biju brings to our notice how while playing Go, a Chinese strategy board game, certain moves by Google’s AlphaGo programme consumed 1,00,000 watts of power compared to just 20 watts by the human brain. Our brain is the most energy-efficient system known in the universe and it makes blazingly fast computations, which decides, among other things, the angle at which we will hold Biju’s book in our hands as we read it.

But Biju’s book is not a book on neuroscience. Instead, it should be treated as a book of possibilities on what Indian businesses can achieve. An oft-repeated lament is that Indian businesses do not innovate. At the headquarters of a large BFSI company recently, an argument was made for introducing a feature within their payment app to enable pocket money for younger kids. It was met with curiosity but also dilly dallying. What made them pay attention eventually was the fact that Google Pay introduced this very same feature two weeks later. Why did Google Pay beat them to it? It is a question worth pondering.

In another instance, a large Q-commerce company was able to capture the South Indian market by incorporating nuances from Applied Behavioural Science to establish ‘fresh’ as the most important attribute of its grocery



Title: Microstimuli: The New Science of Persuasion
Author: Biju Dominic
Publisher: Penguin Business
Price: ₹430

offerings. Corporate India wants to claim its position as a top economic power in the world. It is important then that Indian companies, whether legacy or start-ups, avoid what the BFSI firm did and instead behave the way the Q-commerce company did. We need to analyse, understand and influence human behaviour so that we can create better products, brands and people.

It is here that Biju’s book shines. Human desire is memetic. We see possibilities and desire to copy it for ourselves. Biju’s book brings forth the latest findings from the world of neuroscience, and tells us the stories of interventions done in the Indian context. Business leaders in India have obviously read a diverse range of books on influencing human behaviour. But for many founders and CEOs, this will be the book that tells them change is here and possible for us to implement.

Microstimuli does a good job of explaining how the brain makes decisions and ties it to solving the problems of the world using real life case studies. Biju’s book first helps us understand what he and his team call ‘Microstimuli’, a disproportionately powerful trigger to influence behaviour. It then shares a framework with us on how to create one for our product, brand and people interventions.

Whether you are a curious student of human nature, or a stakeholder who takes decisions on or designs for impacting behaviour, this book is for you. I am fairly certain we will soon see Indian companies adopting a behaviour-first approach.

The reviewer is co-founder of 1001 Stories. He works with Behavioural Science and Context Architecture to design strategy for products, brands and people interventions

The hollowing out of Parliament

Derek O’Brien’s clinically diagnosed book is an important chapter in Opposition literature

BOOK REVIEW.

Saira Shah Halim

It has been a smooth transition from the world of corporate communication to the fiery floor of the Rajya Sabha for Derek O’Brien. Known nationwide to an older generation as Asia’s premier quizmaster, he has spent the last decade and a half as a twice-serving Member of Parliament and the leader of the All India Trinamool Congress (AITC) in the Upper House.

In his book, *Politics, Policy and Predictions: Views from the Front Row of Parliament*, O’Brien positions himself as a “politician-journalist” and not a mere Opposition dissenter.

That’s the primary reason why his book should have a wide audience. Reading this book as an active participant in public life, I found myself in a unique position. In our home state of West Bengal, O’Brien and I occupy opposite sides of the political spectrum. Our regional mandates, grassroots priorities, and local political battles often place us at sharp variance. Yet, as I turned the pages of this book, I found a powerful truth emerging: when we look beyond regional binaries to the national level, his critique of our eroding democratic structures is one I fundamentally agree with.

O’Brien’s central thesis is chilling yet vital: India’s democratic crown jewel — its Parliament — is systematically and chillingly being hollowed out, from what used to be a sacred space of vibrant deliberation into a tightly controlled, bureaucratic echo chamber.

STIFLING DISSENT
The initial chapters of the book provide an insider’s autopsy of how the structural norms of the Lok Sabha and Rajya Sabha are being systematically dismantled. He highlights how Bills are

rushed through voice votes without being referred to Parliamentary Standing Committees.

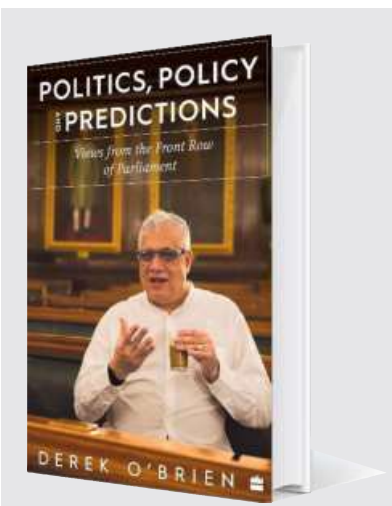
O’Brien approaches this structural decline with a sharp analytical focus. He laments the diminishing lead time between the issuance of an official summons and the actual commencement of a parliamentary session.

But O’Brien ventures beyond mere complaints to offer concrete policy fixes. He outlines specific legislative reforms, such as reducing the government’s mandatory response window for committee recommendations from six months to 60 days (modelling it after the British House of Commons). He also advocates for extending MP tenures on standing committees to 30 months to foster genuine institutional expertise.

Where *Politics, Policy and Predictions* truly shines, and where my alignment with his national policy perspective is strongest, is in its data-driven dismantling of state-sponsored narratives. O’Brien leans heavily on his background as a communicator to show how the current ruling party operates in a state of “permanent propaganda”. The book contrasts lofty public relations campaigns against cold, hard institutional data sourced directly from Comptroller and Auditor General (CAG) reports, parliamentary unstarred questions, and reserve data.

In a brilliantly biting chapter titled “*Less Welfare, More PR*,” O’Brien exposes the reality behind flagship government schemes.

FEDERALISM UNDER SIEGE
A running thread throughout these essays is the defence of Indian federalism. Representing West Bengal O’Brien, details how the financial and political autonomy of State governments is systematically squeezed. Importantly, the book serves as a vital counterweight to the prevailing media



Title: Politics, Policy and Predictions
Author: Derek O’Brien
Publisher: Harper Collins India
Price: ₹499

● **ABOUT THE AUTHOR**
Derek O’Brien is a twice-serving member of the Rajya Sabha from Bengal, representing the Trinamool Congress. He is national secretary and chief national spokesperson of his political party

narrative that the political Opposition in India is scattered, weak, or non-existent. O’Brien directly blames mainstream television news channels and newspapers for making the Opposition “invisible” by selectively muting or ignoring parliamentary debates, and who would know that better than me who faces the brunt of the invisibilisation of the Opposition every single day at every National media debate or any symposium.

To bridge this gap, the latter section of the book includes transcripts and excerpts of landmark parliamentary speeches from a broad coalition of Opposition leaders — including Rahul Gandhi, Abhishek Banerjee, Mallikarjun Kharge, and Akhilesh Yadav.

O’Brien’s prose is highly accessible, crisp, and conversational. He avoids the dense, opaque legalese typical of political memoirs.

However, readers must approach the book recognising the author’s clear positionality. This is fundamentally a work of Opposition literature. While O’Brien’s statistics are grounded in real, verifiable government audits, he naturally glosses over the complex internal fault lines, historic policy failures, and political contradictions within the Opposition space itself.

For me, the absolute high point of the book is Chapter 4, where O’Brien takes aim at the heavily mythologised ‘Gujarat Model’, aptly recharacterising it as a ‘Glasshouse Model’.

The true vulnerability of the book lies not in what it says, but in how its insights contrast with real-world execution. While O’Brien accurately tracks the decade-long erosion of institutional norms, his sharp predictive frameworks seem to have been entirely absent from the TMC’s localised campaign playbook in Bengal. The election results serve as a harsh reminder that elite narrative management in New Delhi does not automatically secure constituencies in Malda or Midnapore.

Had the TMC elevated O’Brien to the role of a chief electoral strategist allowing his analytical foresight to dictate State-level alignments and counter-strategies — the West Bengal verdict would likely have told a completely different story.

The reviewer is an Author, Educator, and Left political Activist

thehindubusinessline.
TWENTY YEARS AGO TODAY.

June 22, 2006

Jet Air-Sahara deal in turbulence

The Rs 2,200-crore acquisition of Air Sahara by Jet Airways has run into rough weather, with the action on the deal moving from the boardroom to the courtroom. There is, however, no final word yet from both the airlines on the fate of the share purchase agreement. This agreement was to expire midnight Wednesday if certain “condition precedents” were not satisfied by either of the parties.

Cabinet may discuss Nalco, Neyveli Lignite sell-off today

The Union Cabinet is expected to discuss selling of 10 per cent stakes in National Aluminium Company Ltd (Nalco) and Neyveli Lignite Corporation. The two items are on the agenda. The respective Ministers have also taken the routine departmental briefings required for the meeting. But whether they would come up for discussion would be a matter of prerogative, senior Government sources said.

Govt proposes to divest 5% stake in Coal India

The Government has initiated the first move towards disinvestment of Coal India Ltd(CIL). According to initial discussions with rating agencies it appears that five per cent sell-off could garner anywhere between Rs 3,000 crore and Rs 3,500 crore, sources said.

Short take

Needed, a more equitable intellectual property order

Anson CJ

The decision by the United States Trade Representative (USTR) to initiate Section 301 investigation into Vietnam’s intellectual property protection and enforcement framework has reignited debates on the role of IPR in international trade relations. Vietnam was identified as a “Priority Foreign Country” in the 2026 Special 301 Report due to what the US described as persistent concerns regarding IP protection and enforcement.

Notably, India continues to remain on the USTR’s Priority Watch List, alongside several other developing economies, reflecting long-standing

concerns raised by the US regarding aspects of intellectual property protection and enforcement. The continued placement of developing countries on such lists raises important questions regarding the benchmarks used to evaluate IP compliance.

While concerns relating to piracy, counterfeiting, and infringement are legitimate, the current developments invite a broader discussion on whether global IP enforcement standards are being applied consistently across developed and developing countries.

The recent adoption of the WIPO Treaty on Intellectual Property, Genetic Resources and Associated Traditional Knowledge marks an important step towards addressing concerns relating to

the misappropriation of genetic resources and traditional knowledge.

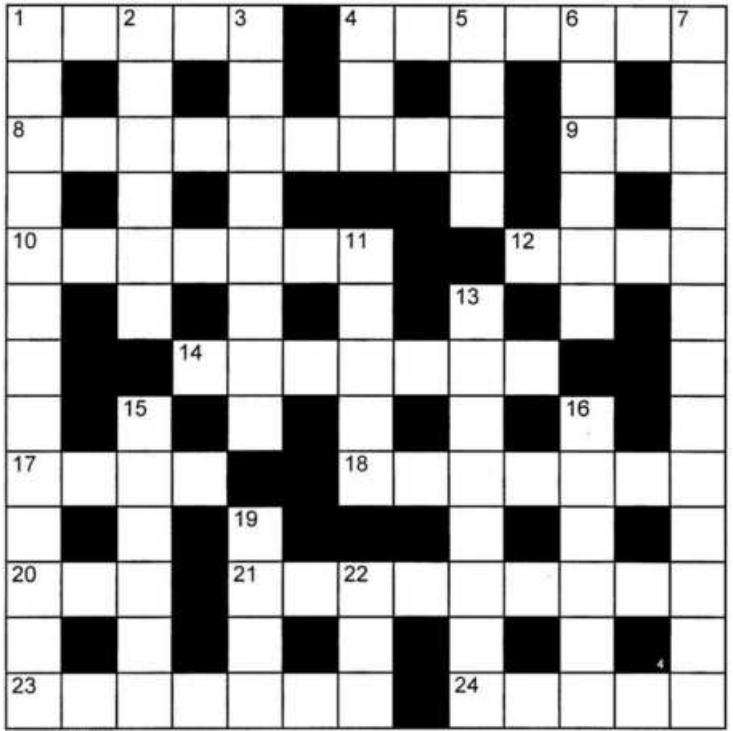
If developing countries can be subjected to investigations and trade measures for perceived inadequacies in IP enforcement, should there also be mechanisms to examine whether developed countries adequately prevent the misappropriation of traditional knowledge, genetic resources and indigenous innovations?

For decades, countries such as India have highlighted concerns relating to biopiracy. Although international recognition of these concerns has grown, questions remain regarding the accountability of research institutions, corporations and innovation ecosystems in developed countries

when inventions are derived from resources and knowledge in biodiversity-rich developing nations. The broader challenge is to ensure that enforcement is not viewed solely through the lens of protecting private intellectual property rights. A balanced system must address fairness, transparency, biodiversity conservation, benefit-sharing and protection of community-held knowledge systems. The Vietnam investigation raises a fundamental question: should IPR enforcement focus exclusively on piracy and infringement in developing countries?

The writer is Assistant Professor, Boyd Tandon MCC Business School, Madras Christian College, Chennai

● BL TWO-WAY CROSSWORD 2676



EASY

ACROSS

- 01. Air raid alarm (5)
- 04. Applause, praise bestowed (7)
- 08. Moderate, as climate (9)
- 09. No score (3)
- 10. Is abusive (7)
- 12. Flat-topped forage-cap (4)
- 14. Ways in (7)
- 17. Chess castle (4)
- 18. Tableland (7)
- 20. Gratuity (3)
- 21. Long plaited hair as worn by Rastafarians (9)
- 23. Amount by the three-foot measure (7)
- 24. Having a film of dirt (5)

DOWN

- 01. Comfortably situated (7,6)
- 02. Neglectful (6)
- 03. Goading, annoying (8)
- 04. Poddled vegetable (3)
- 05. So let it be (4)
- 06. Main meal (6)
- 07. Speaking bluntly; speaking of business (7,6)
- 11. Leather band (5)
- 13. Claimed, asked authoritatively (8)
- 15. Small change (6)
- 16. Devils (6)
- 19. Notion (4)
- 22. Needle-hole (3)

NOT SO EASY

ACROSS

- 01. It gives warning of a rinse-out (5)
- 04. Dual-comeback in the coalmine for the praise bestowed (7)
- 08. Paddy had dinner, quite moderate (9)
- 09. Nothing but an endless African river (3)
- 10. Affronts last month in a variety of sins (7)
- 12. Forage-cap will keep losing second: one follows that (4)
- 14. Soldiers on guard losing leader, such records being made (7)
- 17. Bird that may be castled on board (4)
- 18. Flat country got up with a late change (7)
- 20. What I fancy will win may be gratuitously bestowed (3)
- 21. Have great fear of fastening device ahead of a Rastafarian (9)
- 23. How old detectives are, by a certain measure (7)
- 24. Has film: needs wipe (5)

DOWN

- 01. What attractive model may be doing – has a sinecure! (7,6)
- 02. Is negligent concerning a spinster (6)
- 03. How annoying it is to require fish! (8)
- 04. Vegetable that’s podded may be jacketed by sailor (3)
- 05. Finally a word may be got from a name (4)
- 06. Pub in red revolution where meal is provided (6)
- 07. Domestic fowl using gobbledegoose? No, getting down to business! (7,6)
- 11. This hanger commutes on foot (5)
- 13. Made authoritative request for chap to get double-top, indeed (8)
- 15. Man on beat may be beaten ornamentally (6)
- 16. Devils so mend their different ways (6)
- 19. A thought each half lid begin with (4)
- 22. Space for thread to watch (3)

SOLUTION: BL TWO-WAY CROSSWORD 2675

ACROSS 2. Crumb 5. Wine 7. Skim 8. Partners 9. Bothered 11. Soho 12. In the same boat 15. Isis 17. Remotest 19. Footwear 21. Gilt 22. Slop 23. Therm
DOWN 1. Unknown 2. Cam 3. Upper 4. Boredom 5. Win 6. North 10. Ha-has 11. Sabot 13. Surfeit 14. Absalom 16. Spoil 18. Merge 20. Tip 21. Gum

NEWS SNIPPETS.

Agastya Energy secures
₹4,000-cr loan from IREDA

Agastya Energy Industries Ltd has bagged a loan of around ₹4,000 crore from the public sector financier Indian Renewable Energy Development Agency Ltd (IREDA) for its upcoming plant with capacity to manufacture 5 GW of solar cells and 5 GW of modules. The facility is being set up with an investment of ₹7,000 crore in Kurnool district, Andhra Pradesh, the company's Vice President, Gaurav Tripathi, told *businessline* recently.

He said the project would be developed in two phases. The company also intends to go in for further backward integration, for the manufacture of ingots and wafers.

Agastya Energy was founded by the promoters of the BSE-listed BN Agrochem, an edible oils producer. In 2023, it roped in solar manufacturing expert Bernhard Rack as CEO. Rack had earlier worked with the Adani group, to set up manufacturing facilities.

Tripathi said Agastya also intends to set up solar plants for electricity generation — around 2 GW a year for the next five years. These plants could be an anchor customer for the cell and module production units, he said.

Wind industry targets 8 GW
installations in current year

After a record 6.05 GW of installations in 2025-26, the Indian wind industry expects to do more. According to Girish Tanti,



Chairman, Indian Wind Turbine Manufacturers Association (IWTMA), and Vice Chairman, Suzlon Energy, the country would see fresh installations of 8 GW wind capacity in the current year. The previous highest was about 5.2 GW in 2016-17, when developers rushed to commission projects before some incentives dried up.

At the Global Wind Day event in Goa recently, Tanti said the industry was confident of adding 10 GW more in the following year.

However, a few others in the industry did not share Tanti's optimism. They said the 6.05 GW achieved in 2025-26 was largely due to the bunching up of project commissioning; while a similar bunch-up may still happen in the current year, such high levels of installation may not happen in the subsequent years, they said.

Torrent Koppal is the site of
India's largest wind turbine

India's largest wind turbine, with a nominal capacity of 5.3 MW, was recently erected at the Torrent Koppal site in Karnataka. This is part of an order from Torrent Solar Power for turbines worth 157.3 MW.



The turbine was produced by Venwind Reflex, part of the Chennai-based Reflex group of companies,

with technology from Vensys Energy AG of Germany. The wind industry stands tall — literally. Turbines are becoming bigger and standing on taller towers. The Venwind Reflex turbine features a 130 m tower and 91.2-m-long blades.

India's biggest wind turbine company, Suzlon Energy, had recently launched its 5 MW machine in India, at the Global Wind Day event in Goa. Chinese company Envision, which has a manufacturing plant in India, sells a 5 MW turbine. Adani Wind, a division of Adani New Industries Ltd, produces 5.2 MW turbines.

FANNING DISCONTENT

RoW issue is killing us: Wind industry

FRICTION POINT. A years-old problem turns acute as the wind energy sector expands to newer areas and encounters more resistance

M Ramesh

By the looks of it, 2025-26 was a dream year for the Indian wind industry. It installed a record 6.05 GW of fresh wind power, comfortably surpassing the previous high of 5.2 GW in 2015-16. Further, the Indian Wind Turbine Manufacturers Association (IWTMA) is confident of an encore, projecting fresh installations of 8 GW in the current year.

So, all well in the wind industry? Not at all.

At the Global Wind Day conference held in Goa on June 15, the mood among industry participants was anything but celebratory. Every speaker, without exception, harped on the same subject: Right of way, or RoW, challenges.

This complaint is years-old but executives say it has now assumed serious proportions. Wind projects are particularly vulnerable because they are spread over large areas and require the movement of oversized cargo, heavy cranes and construction material through multiple parcels of land. Access roads, transmission lines and turbine locations... all become potential points of conflict. The challenge is growing because the industry is spreading out more. Earlier, wind farms were concentrated in a handful of high-wind locations in a few states. Today, advances in turbine technology have made it viable to develop projects in areas that were previously considered unsuitable. This has brought developers into conflict with a larger number of landowners and local interest groups.

Protests, higher compensation demands and, in some cases, threat to life and property are making projects more difficult and costlier to execute, members of the industry say. "RoW-related issues have gone beyond genuine compensation concerns," alleges UB Reddy, Vice-



FRESH CROP. Advanced turbine technology is taking wind projects to areas previously considered unsuitable BLOOMBERG

Chairman of the Indian Wind Power Association (IWPA).

He told *businessline* that farmers alone are usually not the problem. In fact, landowners often welcome wind projects because they enhance land value and are an additional source of income.

"They are instigated to obstruct the projects by local miscreants," says Reddy, who is the Managing Director of Enerfra Projects India Pvt Ltd, which builds wind projects for energy developers.

LAW-AND-ORDER ISSUE

The tussle over fair compensation is increasingly turning into a law-and-order problem, industry executives say.

The timing of the disruption often leaves developers with little room to manoeuvre. Protests may erupt after the foundation has been partly cast or sections of a turbine



Prahlad Joshi, Union Minister for New and Renewable Energy

tower have been erected. By then, the developers would have committed substantial capital and delays become expensive, they say.

In one instance, a project near Bijapur, in Karnataka, was stalled after some people allegedly dug up a public road, making it impossible to move cranes and other construction equipment from storage yards

to the project site. "RoW-related extortion has become highly organised, with dedicated groups targeting wind energy developers," Reddy says. The projects move through cycles of delay and release, resuming only after fresh negotiations and compensation payments.

The issue has turned more acute with the increase in turbine sizes — blades are more than 80 m long, worsening transportation issues.

PROBLEM VS PERFORMANCE

But what explains the record installations in the face of such difficulties?

"It is a myth that the industry is doing well," says Reddy. According to him, the record 6.05 GW achieved in 2025-26 was partly due to the bunching up of projects in a single year. A similar bunching effect could support installation numbers this year as well, but the

impact of the persistent RoW bottlenecks would become visible in subsequent years, he warns.

When *businessline* raised the issue with Santosh Sarangi, Secretary, Ministry of New and Renewable Energy, he acknowledged the challenges but noted that they largely come under the domain of State governments. Industry executives say State-level intervention is often complicated by local political dynamics, alleging that disruptive elements enjoy the backing of local political leaders.

This view was echoed, albeit diplomatically, by Union Minister for New and Renewable Energy Prahlad Joshi. The minister told *businessline* that the Centre was in discussions with State governments on the issue. State governments understand the problem, he said, but some local netas create obstacles.

Meanwhile, the delays and mounting compensation payouts are increasing project costs and slowing capacity addition.

India today has 56.8 GW of installed wind capacity. The government's target is 100 GW by 2030, necessitating annual additions of 11 GW over the next four years.

Industry leaders warn this could prove difficult until the RoW issue is resolved.

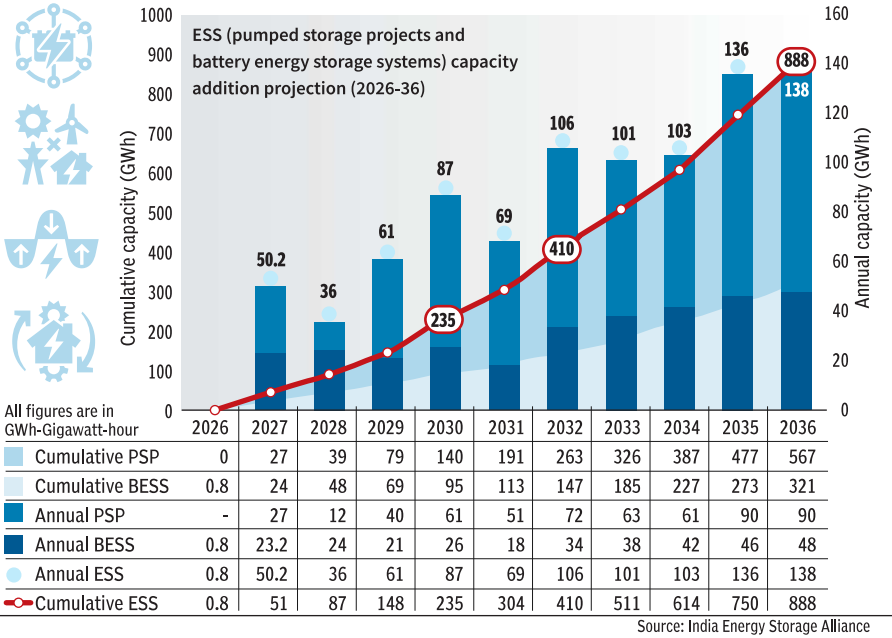
AP MODEL

Dr M Kamalakara Babu, Vice Chairman and Managing Director, New & Renewable Energy Development Corporation of AP Ltd, the nodal agency for renewable energy in Andhra Pradesh, told *businessline* that the State does not have RoW issues since it leases land from the owners at ₹30,000 an acre per year, with 5 per cent escalation every two years. Many landowners have opted in and the State is in the process of acquiring 1.5 lakh acres on a 25-year lease for renewable energy development.

Wind industry insiders agreed that AP has vast tracts of lands ripe for acquisition.

GREEN SCREEN

India will need energy storage systems of 888 GWh capacity by 2035-36, which is a huge jump from 1 GWh available today



RE PROJECTS

Build more, save ₹2.27 lakh cr

Team BL

India could save ₹2.27 lakh crore in power system cost by relaxing renewable energy "build limits" by 50 per cent, according to a study by the All India Discoms Association (AIDA).

At a wind industry conference held in Goa recently to mark Global Wind Day, Alok Kumar, Director General, AIDA, and former secretary, Ministry of Power, said current power-sector planning assumptions place limits on the pace at which new renewable energy capacity can be added. Relaxing these "build limits" by 50 per cent would enable faster deployment of renewable energy projects and lower the overall system cost, he said.

Build limits are assumptions used in power-system planning models to cap new generation capacity over a given period. The limits reflect factors such as project development timelines, supply-chain constraints, availability of land and transmission infrastructure, and the sector's ability to absorb new capacity additions.

According to Kumar, a 50 per cent relaxation in these limits would require an additional capital expenditure of ₹1.24 lakh crore but would unlock operating cost savings of ₹3.51 lakh crore.

He further said such a relaxation would eliminate the need to install about 22 GW

of battery energy storage systems (BESS), reducing the overall cost of the power system.

Kumar said the proposal would require approval from the Central Electricity Authority (CEA), as build limits are part of the assumptions used in long-term power-system planning exercises.

The proposal to relax build limits drew an immediate response from Union Minister for New and Renewable Energy Prahlad Joshi, who was attending the Goa event. Joshi said the ministry would examine the suggestion in detail and directed Santosh Kumar Sarangi, Secretary of the Ministry of New and Renewable Energy, to study the proposal and its implications.

Integrating climate finance into the banking regulatory framework

The RBI's proposed climate risk information system is an important first step in developing standardised datasets to facilitate clean transition

Leena Nandan
Sidharth Sinha

Globally climate finance is increasingly becoming a case of too little, too late. Longstanding disagreements over what qualifies as climate finance have been accompanied by a persistent shortfall in capital to address climate risks. India's experience has been no different.

Beyond the money lies a deeper challenge: how a banking-dominated financial system, shaped by mandates developed over decades, can adapt to a risk it was never designed to assess. This challenge is acute for regulators. Its resolution is essential if climate finance in India is to move at the pace required by the country's climate commitments.

The Reserve Bank of India (RBI) operates under a broad mandate that includes maintaining monetary and financial stability while supporting economic development. Central to this role is ensuring that banks, as custodians of depositors' funds, remain solvent, prudently managed and resilient to systemic shocks. At the same time, climate change is increasingly recog-

nised as an economy-wide risk with potentially significant implications for financial stability.

NEW CAPABILITIES

Integrating climate considerations into prudential regulation is therefore not a simple policy choice. It is an institutional transition that must be carefully embedded within existing regulatory frameworks.

One reason this transition is difficult is the gap between climate science and financial regulation. Banking supervision has evolved through decades of experience in assessing credit, market and operational risks. Climate science, by contrast, deals with hazard projections, emission pathways and probabilistic assessments of physical risk.

STANDARDISED DATA

Translating a heatwave projection, flood scenario or transition pathway into measures such as credit impairment or probability of default requires bridging disciplines that have historically had little overlap. This calls for new institutional capabilities within banks, within the regulator and across a wider ecosystem of data providers, analysts

WHAT IS RBCRIS?

The Reserve Bank Climate Risk Information System (RBCRIS) is a data and analytics platform proposed to be developed by the Reserve Bank of India to help financial institutions better understand and assess climate-related risks. The idea is to create a common repository of climate information — such as hazard maps, weather and disaster data, emission metrics, transition scenarios and other climate indicators — that banks and other financial institutions can use in their risk assessments. The standardised and credible datasets are meant to reduce information gaps and enable a consistent evaluation of how climate change could affect borrowers, assets and financial stability.

RBCRIS will also support the development of climate-risk modelling and stress-testing frameworks across the financial sector. Instead of requiring each bank to independently gather and process complex climate data, the platform would provide a common foundation for analysing risks arising from floods, heatwaves, droughts, extreme weather events and the transition to a low-carbon economy. The broader objective is to help banks, regulators and policymakers incorporate climate considerations into financial decision-making in a systematic and evidence-based manner, while strengthening the resilience of India's financial system to long-term climate-related shocks.

and model developers.

In this context, the RBI's proposed Reserve Bank Climate Risk Information System (RBCRIS) represents an important first step. By providing standardised climate datasets — including hazard maps, transition scenarios and emission factors — in formats that can be integrated into financial models, RBCRIS seeks to establish a robust evidence base before more prescriptive

regulation is considered.

Without measuring, consistently and comparably, climate-related financial risks across institutions, imposing capital buffers or provisioning requirements could prove premature.

Yet data alone will not be enough. The next challenge is in developing stress-testing frameworks that can translate climate variables into financial risk metrics, particularly in India's diverse

banking system. While some large institutions may be able to build sophisticated climate-risk models, many smaller banks may not.

The regulator therefore faces a choice: allow institutions to develop their own approaches, or facilitate more standardised tools that ensure comparability and a level playing field. The latter may prove more practical, though it will require investments in analytical capabilities that have

traditionally remained outside the regulator's core remit.

NEED FOR PRUDENCE

The question climate advocates often ask is why regulators can't simply incentivise green lending. Here, it is a question of prudence rather than indifference. Many low-carbon technologies are still evolving, with uncertain cash flows and limited operating histories. India's experience with solar power illustrates the challenge. Early lending decisions based on expectations of high tariffs were later tested by oversupply, grid constraints and falling prices. Banks are still dealing with some of the consequences.

At the same time, excessive caution carries its own risks, potentially slowing the funding needed for clean transition. Financial history offers a parallel lesson: loosening standards too quickly can lead to mispriced risk, asset bubbles and painful corrections.

The way forward may therefore lie less in direct incentives and more in building the ecosystem that enables capital to flow efficiently. This includes reducing information gaps between borrowers and lenders, standardising

monitoring and verification processes, strengthening disclosure practices, and creating the institutional infrastructure needed to mobilise capital at scale.

BALANCING ACT

None of this suggests that action can be postponed indefinitely. Climate risks are already accumulating in financial portfolios, whether or not they are formally measured. The challenge is not to dilute prudential standards but evolve them — applying the same rigour to climate-related risks that regulators apply to conventional financial risks, while distinguishing speculative enthusiasm from well-structured climate investments.

India's central bank faces a delicate balancing act. It is expected to be both a cautious guardian of financial stability and an enabler of transition finance. Getting that balance right may not attract headlines. But it could prove crucial not only for financial stability, but also India's broader climate ambitions.

Leena Nandan is a former secretary, Ministry of Environment, Forest and Climate Change; Sidharth Sinha is Senior Fellow, Earth Science and Climate Change, TERI

OFFICE BUZZ.

India dominates skilled migration flow

When it comes to global skilled migration flows, India continues to sit on top. It is the top source of US H-1B visas, the second for UK skilled worker visas and EU Blue cards.



But the nature of the dominance is shifting, says new data from Deel's Global Talent Map. International hiring is now driven not

by cost arbitrage but intense global competition for scarce skills.

The analysis, which spans 40,000-plus companies across 150-plus countries, shows that visa holders earn more than locals in comparable roles across major markets, underscoring that global hiring today is driven by skill scarcity, not wage savings.

In the US, H-1B workers earn a median of \$140,000 compared to \$130,000 for citizens in similar roles. In the UK, skilled worker visa holders earn £96,000 versus £87,000 for UK nationals. In the UAE, Golden Visa holders earn 605,000 AED compared to 459,000 AED for standard employment visa holders.

Australia recorded the fastest growth in hiring Indian talent, followed by the UK and the US. The UAE remains the top destination for Indian professionals globally, followed by Singapore, the UK, the US, and Canada.

The report also points to early signs of reverse migration.

A toolkit for inclusivity

GCPL has launched 'Pride in Manufacturing', a practical toolkit designed to help organisations build safer, more equitable and inclusive manufacturing workplaces for LGBTQIA+ employees.



Developed in partnership with inclusion consultancy Transformis, the toolkit provides actionable guidance on inclusive hiring, workplace

infrastructure, employee sensitisation, leadership accountability and fostering a culture of belonging on factory floors.

The initiative stems from the recognition that while LGBTQIA+ inclusion has gained visibility in corporate India, manufacturing workplaces have largely remained outside the conversation. About 45.4 million people in India identify as LGBTQIA+, but 34 per cent cite personal safety concerns as a barrier to being open about their identity at work.

IN THE FAST LANE

Market leaders outpace the auto pack

ACCELERATING HARD. Why TVS, Maruti, Tata and Mahindra grew three times faster than the 10.4 per cent Indian auto industry growth

Amit Vijay Mohile

TVS Motor, Maruti Suzuki, Tata Motors and Mahindra & Mahindra grew between 15 per cent and 30 per cent in FY26, far outpacing India's auto industry growth of 10.4 per cent and emerging the year's biggest winners across the two-wheeler, passenger vehicle, commercial vehicle and tractor segments. TVS rode premium motorcycles, electric scooters and exports to 30 per cent growth, Mahindra's SUV and tractor franchises powered a similar rise, Maruti benefited from SUV demand and record exports, while Tata gained from both sale of electric passenger vehicles and a recovery in commercial vehicle sales.

India's auto industry sold a record 2.83 crore vehicles in FY26, but beneath the headline numbers a more important trend emerged: growth increasingly flowed to companies with strong brands, richer product mixes and leadership positions in their segments.

THE SUV AND EV PUSH

Passenger vehicles offered the clearest evidence of the shift. Industry wholesales grew 7.9 per cent to 46.4 lakh units, yet Mahindra & Mahindra's automotive business expanded 30 per cent, driven by a strong demand for SUVs such as the Scorpio, Thar and the XUV range. The company strengthened its position as India's leading SUV player, benefiting from consumers' willingness to move up the value chain.

Maruti Suzuki, too, bested the market with 20.2 per cent revenue growth, as its SUV push gained traction. Exports rose 34.6 per cent to 4.48 lakh units, giving the company nearly half of India's passenger vehicle export market. The pending order book of about 1.9 lakh vehicles tells its own story.

Similarly, Tata Motors' passenger vehicle business grew faster than the market, supported by



DRIVING TRENDS. In FY26, growth increasingly flowed to companies with strong brands and richer product mixes

rising EV adoption and a broader portfolio of utility vehicles. EV volumes grew more than 43 per cent, helping the company retain leadership in India's electric passenger vehicle segment.

The contrast came from Hyundai Motor India, whose revenue grew just 2.3 per cent, underscoring the difficulty in competing in a market increasingly dominated by SUVs and premium products.

TVS STEALS A MARCH

The two-wheeler industry grew 10.7 per cent in FY26, crossing 2.17 crore units, but TVS Motor emerged one of the sector's biggest winners with 30 per cent revenue growth. Unlike many rivals, TVS expanded across all three of its major growth engines simultaneously. Exports rose 31 per cent, electric scooter volumes increased 33 per cent, and domestic sales remained robust, making it the only major two-wheeler manufacturer to post broad-based growth across domestic, international and EV businesses.

Hero MotoCorp and Bajaj Auto also outperformed the market, benefiting from premium motorcycles and export demand.

The numbers suggest India's two-wheeler industry is increasingly driven by higher-value products than commuter motorcycles alone.

The gains came partly at the expense of rivals. Ola Electric's sharp decline in volumes and revenue allowed established players such as TVS and Bajaj to strengthen their positions in the fast-growing electric scooter market.

THE CV RECOVERY

Commercial vehicles followed a different script. Industry volumes rose 12.6 per cent, supported by infrastructure spending, freight movement and fleet replacement demand.

Tata Motors remained the market leader, while Ashok Leyland reported record revenue as truck demand improved. Unlike in the case of passenger vehicles and two-wheelers, revenue growth broadly

tracked volume growth in the truck segment, suggesting this was primarily a cyclical recovery rather than a premiumisation story.

For Tata Motors, the commercial vehicle rebound provided a second growth pillar alongside its passenger vehicle and EV businesses.

MAHINDRA'S DOMINANCE

The tractor industry crossed 11 lakh units for the first time, with volumes rising 23.5 per cent on strong rural demand and favourable farm conditions.

Mahindra strengthened its status as FY26's most diversified winner. Alongside its 30 per cent automotive growth, the company remained the market leader in tractors and light commercial vehicles below 3.5 tonnes. Farm equipment revenue rose 20 per cent, giving Mahindra leadership positions across urban and rural mobility markets.

The tractor story again differed from that of passenger vehicles and two-wheelers. Growth was driven

primarily by rural demand, supportive policies and strong farm economics rather than premiumisation. Even so, Mahindra emerged as the segment's biggest beneficiary.

FY26'S BIGGER LESSON

FY26 was not merely a record year for India's auto industry. It was also a year in which growth became increasingly concentrated among category leaders. SUVs powered passenger vehicles, premium motorcycles and exports lifted two-wheelers, freight recovery boosted commercial vehicles, and rural demand supported tractors.

Together, these trends helped TVS Motor, Maruti Suzuki, Tata Motors and Mahindra & Mahindra grow significantly faster than the industry's 10.4 per cent pace, widening the gap between the market leaders and the rest.

As FY27 rolls on, the industry's biggest question is no longer whether demand will grow, but which manufacturers can continue to outgrow the market itself.

Why FMCG giants buy D2C brands

DEAL STREET



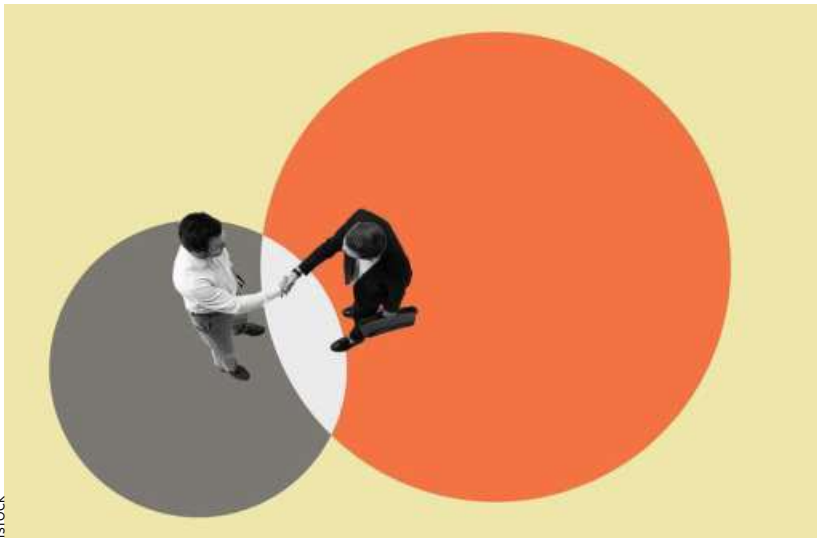
KARAN TAURANI

India's consumer sector is witnessing a significant wave of consolidations. The recent acquisition of Innovist by L'Oreal was but the latest in a long line of such deals. Over the last few years, several large FMCG companies have acquired digital-first brands to strengthen their presence in emerging categories and online channels. Hindustan Unilever acquired Minimalist and Oziva; Marico acquired Cosmix and 4700BC; ITC has invested in Yoga Bar; USV Pharma has acquired Wellbeing Nutrition; and Honasa Consumer has acquired men's grooming brand Reginald Men.

At the heart of these acquisitions is a simple reality: the online channel has become indispensable for consumer companies. India's online penetration in the grocery, food and general merchandise categories remains below 5 per cent, significantly lower than in global markets. Historically this was because e-commerce had limited success in building a profitable grocery model. However, the emergence of quick commerce players such as Blinkit, Instamart and Zepto has changed the landscape. What started as a convenience-led grocery proposition has rapidly expanded into beauty, personal care, wellness and general merchandise categories. As quick commerce players increasingly encroach upon categories that were traditionally dominated by e-commerce platforms, large marketplaces have been forced to strengthen their quick-commerce offerings. The result is a rapidly expanding online consumption ecosystem that is likely to drive a meaningful increase in digital penetration over the coming decade. Against this backdrop, the recent acquisition wave reflects the changing nature of consumer demand, brand discovery and distribution in India.

DIRECT TO CONSUMERS

The biggest driver of these acquisitions is the accelerating shift towards online commerce. Consumers today are increasingly discovering brands through social media, influencers, quick commerce apps and e-commerce platforms rather than traditional retail shelves. Digital-first brands have been the early beneficiaries of this trend, building strong relationships with younger consumers and creating communities around specific product categories. For incumbent FMCG and beauty companies, acquiring such brands offers a faster route to capturing digital demand than building online capabilities organically. More im-



portantly, it provides direct access to consumers who are likely to account for a growing share of consumption over the next decade.

THE END OF EASY MONEY

During the era of low interest rates, D2C brands had abundant access to venture capital and could prioritise customer acquisition and growth over profitability. That environment has changed. Global interest rates remain elevated, cost of capital has increased, and investor attention has increasingly shifted towards artificial intelligence, AI infrastructure and deep-tech opportunities. As a result, many consumer startups are finding it harder to raise fresh capital at premium valuations. Strategic acquisitions have emerged as a logical outcome. Founders and investors get liquidity, while larger consumer companies gain access to proven brands without bearing the risks associated with building one from scratch.

BUY VS BUILD

Another important factor is the changing pace of consumer innovation. Traditional FMCG companies are often structured to optimise scale and efficiency, whereas D2C brands are built to experiment rapidly with new ingredients, product formats, marketing campaigns and consumer trends. Categories such as active beauty, clean-label nutrition, functional foods and premium grooming have largely been pioneered by digital-first brands. Acquiring these brands allows incumbents to stay relevant among younger consumers and participate in emerging categories without spending years developing in-house capabilities. In many cases, acquiring innovation has become faster and more efficient than creating it internally.

DISTRIBUTION STRENGTH

While many D2C brands have built awareness online, scaling up beyond a certain

size often requires omnichannel capabilities. Customer acquisition costs across Meta, Google and e-commerce marketplaces have increased over the last few years, making digital-only growth increasingly expensive.

To become enduring consumer franchises, brands eventually need access to general trade, modern trade, pharmacies, beauty stores and organised retail networks. This is where incumbent FMCG and beauty companies possess a significant advantage. Their distribution infrastructure, manufacturing capabilities and retailer relationships can accelerate growth far beyond what a standalone startup can achieve. For many D2C brands, partnering with a larger consumer company is, therefore, not merely a financial decision but also a strategic necessity.

OMNICHANNEL FUTURE

The acquisition wave highlights the increasingly complementary strengths of both sides.

Large FMCG and beauty companies gain access to younger consumers, digital capabilities, innovation-led brands and emerging categories. D2C startups gain access to capital, distribution, supply chain expertise and the ability to scale up nationally. Consumers ultimately benefit from stronger brands reaching wider audiences.

India's D2C story is therefore not ending—it is evolving. The easy-money era may be over, but the strategic value of strong consumer brands has never been higher.

The future will belong not to purely online or offline players but the brands that successfully combine digital discovery with physical distribution. The current wave of acquisitions is not merely a consolidation cycle—it is also the blueprint for the next phase of India's consumer revolution.

Karan Taurani is EVP, Elara Capital

BEYOND THE LAB

Horiba India's growing yen for tests

Chitra Narayanan

This June, Horiba achieved a market cap of ¥1 trillion (\$661.12 billion), putting the spotlight on the low-profile 73-year-old Japanese company, a leader in the precision and scientific instruments space. Think of the routine blood tests you do, and chances are that the analysers or instrumentation for those tests are Horiba's. So also the stringent exhaust emission tests that vehicles undergo have Horiba's hand in them. In sectors ranging from the auto industry to medical diagnostics and more, Horiba is the unseen giant testing for quality, safety, and stability, among other vital parameters.

The conglomerate has diversified strategically to take its precise measurement instrumentation to all the areas with the biggest buzz—be it hydrogen, semiconductors or quantum research. And India is central to Horiba's ambitions in all these areas. Earlier this year, in February, Horiba—which is celebrating its 20th year in India—acquired Ahmedabad-based Pristine DeepTech, a company that specialises in using lab-grown diamonds for quantum research and next-generation semiconductors.

Rajeev Gautam, President, Horiba India, describes how the mass flow controllers the Japanese company makes are critical in semiconductor fabrication as they precisely measure and regulate the flow of gases and liquids. "We are world No. 1 as far as mass flow controllers go," he says. The



CLEARING THE AIR. The vehicle test cell at Horiba India's plant in Chakan, Pune

device is manufactured at Horiba's plant in Chakan, Pune, where it also conducts tests for the auto industry. And now it tests hydrogen too.

"With hydrogen, the major challenge is safety because it is volatile and inflammable. At our facility in Pune you can bring your product that runs on hydrogen and get it tested."

He says Horiba India is also staying close to the action in quantum research. "We are connected to IIT-Mumbai and IIT-Delhi. Wherever there is quantum research, we are present," he says.

Horiba has divided its testing services into three verticals—energy and environment, under which it has emission testing, water testing and so on; materials and semiconductor; and biosciences and healthcare. It has three plants in India—at Nagpur (for medical testing), Haridwar and Chakan.

THE RAMAN CONNECTION

Two years on, in 2028, the world will celebrate the centenary of Sir CV Raman's discovery that when a beam of coloured light enters a liquid, some of the light scattered by the liquid is of a different colour. The Raman effect, as it came to be known, is one of the most valuable research tools today with thousands of applications. Japanese company Horiba plans to be at the forefront of the celebrations. For it is a global leader in Raman spectroscopy—a chemical analysis technique used to identify molecules by measuring how they scatter monochromatic laser light. The worldwide Raman spectroscopy market is estimated to be around \$4 billion in 2026.

Horiba gained its leadership in Raman spectroscopy through its acquisition of French optics and instrumentation company Jobin Yvon in 1997. Jobin Yvon, founded in 1819, was one of the first producers of commercial Raman microscopes.

According to Rajeev Gautam, President, Horiba India, "Raman spectroscopy has a huge application. You will be surprised to know that diamond's purity can be tested by it. In the southern part of India, a lot of our customers use it to test adulteration in oil," he says. Recently, a major saree brand approached Horiba to use Raman Spectroscopy to test the purity of silks. The light is shining on the Indian Nobel laureate's magnificent discovery!

"In India, we have become a 600-people company from five when we started 20 years ago," says Gautam. "In the next 10 to 15 years, Horiba is looking at India's scientific pool as its growth engine," he says.

He says the Japanese company is betting on Indian scientific talent because it believes the country will soon witness something similar to what is happening in China, where there is a reverse brain-drain with its top talent returning from the US to set up companies back home. "Second, with all our IITs, we are sitting on a lot of scientific and tech talent."

Horiba India has consciously entrenched itself in many of the IITs. With IIT-Roorkee, for instance, it is working on a drone-based irrigation project. "One major area we are looking at is solving the country's water problem," he says.

By embedding itself into IIT labs, Horiba India ends up getting a lot of future business. As Gautam says, PhD students who have worked on Horiba's testing equipment at the labs return as customers when facing a problem at their workplace.

The India chapter has already delivered many solutions for Horiba globally, such as the chassis dynamometer developed for both domestic use and exports. "We have manufactured it for three-wheelers and four-wheelers," says Gautam.

Horiba India offers a range of scientific studies for global clients. One of these projects involved wood analysis to determine the age of a wood sample, he says.

Gautam, who used to be a serious cricketer in his younger days, wants to double the business in India in the next five years. The pitch in India is perfect for Horiba's areas of expertise, he feels.

CM
YK

DATA BANK.

Global uncertainty tells on domestic MSME credit supply

Supported by asset quality gains, diversified geographic and sectoral participation, and targeted policy measures including credit guarantee and liquidity schemes, the MSME (micro, small, medium exposure businesses) portfolio outstanding (POS) of lenders grew 12.8 per cent year-on-year (yoy) to reach ₹46 lakh crore as of April 2026.

However, between December 2025 and April 2026, POS growth slowed to 3.1 per cent (as against 9.7 per cent in the previous year) and active loans declined 3.5 per cent (versus 3 per cent growth last year), reflecting the potential impact of global uncertainty on domestic MSME credit supply, according to a report on ‘Early indicators of geopolitical impact’ by CRIF High Mark Credit Information Services.

The credit information company (CIC) observed that the MSME portfolio of lenders—including public sector (PSBs), private sector banks (PvSBs) and non-banking financial companies (NBFCs)—has continued to expand, though with a clear moderation in growth momentum and emerging early-stage risk pockets that warrant closer monitoring amid the global backdrop.

CRIF High Mark said the MSME business sector has so far navigated the geopolitical factors with domestic demand resilience, policy support, and adaptive working capital management.

However, lenders and policymakers may need to closely observe areas like slower portfolio growth, stress in select sub-sectors and lender groups, and rising early-stage delinquencies in certain borrower segments.

Borrower segment

The CIC assessed that the micro segment continues to dominate by volume (86 per cent of active loans) but shows higher delinquency, particularly in the early-stage buckets (portfolio at risk, or PAR, 31-90 days at 2.7 per cent vs 1.5 per cent for small and 0.8 per cent for medium enterprises as of April 2026), underlining its greater vulnerability to shocks.

All three borrower segments (micro—exposure up to ₹2 crore; small—exposure of ₹20-20 crore; and medium enterprises—exposure of ₹20-100 crore) saw slower growth between December 2025 and March 2026, with micro POS de-growing (-3.1 per cent vs 3.4 per cent in the same period last year) and micro active loans contracting more sharply (-4.6 per cent vs 1.5 per cent last year), though some stabilisation was visible by April 2026.

Industry activity

Manufacturing and trade jointly account for the largest POS share (30-31 per cent each), but both slowed between December 2025 and March 2026, and from March to April 2026.

The CIC noted that manufacturing credit momentum eased to 4.3 per cent growth between December 2025 and March 2026 (vs 10.4 per cent last year) and further de-grew by 3.1 per cent between March and April 2026, although this could be partly due to seasonal factors.

Within manufacturing, sub-sectors such as shipping and transport, food processing, and auto and ancillaries saw mid-teens percentage declines in POS. These movements may reflect cyclical factors and merit an ongoing observation to gauge their persistence.

Early-stage delinquencies (PAR 31-90) in manufacturing edged up month-on-month (from 1.6 per cent to 1.8 per cent between March and April 2026).

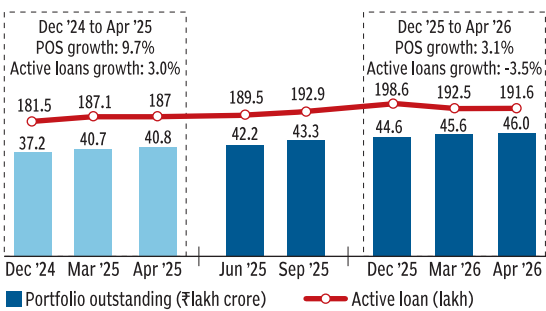
Lender segment

PSBs lead by active loans (driven by working capital-cash credit), while PvSBs lead by POS. Over the last two years, PSBs have ceded share to NBFCs and other lenders.

In the most recent period, lending growth moderated across all lender types, with sharper slowdowns for NBFCs (-1.6 per cent between December 2025 and March 2026 vs 6.4 per cent last year) and PSBs (-0.2 per cent vs 3.5 per cent last year). Banks showed marginally improved momentum in April 2026, while NBFCs resumed growth during this period.

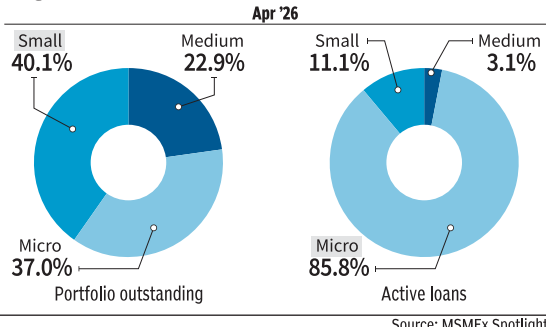
By product, term loans constitute 50 per cent of MSME POS, with the remainder split between working capital-cash credit and overdraft.

Impact on MSME—entities



Between Apr '25 and Apr '26, PAR 31-90 remained broadly stable, while PAR 90+ improved from 8.1% to 7.8%

Segment-wise exposure



K Ram Kumar

The recent statements of the chiefs of Ujjivan Small Finance Bank and Jana Small Finance Bank give the impression that they are keeping their eyes firmly on the prize.

The RBI returning their application for voluntary transition to a universal bank seems to have only hardened their resolve to go the full nine yards to achieve their cherished goal.

Of the 11 SFBs in the country, only three have approached the regulator so far to transition to a universal bank (UB), confident that they tick all the boxes related to eligibility criteria. Only one made the cut — AU SFB (the biggest of the lot with deposits of ₹1.52 lakh crore and advances of ₹1.4 lakh crore as at March-end 2026).

It may be pertinent to mention here that among the 10 entities that were granted in-principle approval to set up an SFB in September 2015, eight were non-banking financial company-microfinance institutions (NBFC-MFIs). AU Financiers and Capital Local Area Bank were an exception. All 10 started their banking journey in the 2016-17 period.

Jaipur-based AU Financiers was an asset financing NBFC, primarily engaged in vehicle financing (about 51 per cent of its loan portfolio in 2016), with diversification into small and medium enterprises (SME) and construction finance, and loans to NBFCs and housing finance companies (HFCs). Jalandhar-based Capital Local Area Bank was a niche entity, with operations in three contiguous districts.

So, NBFC-MFIs such as Janalakshmi Financial Services, Ujjivan Financial Services, Equitas Holdings, ESAF Microfinance and Investments, RGVN (North East) Microfinance, Suryoday Micro Finance and Utkarsh Micro Finance began their banking journey with a portfolio loaded with microfinance loans, which are extended to low-income segments and are generally unsecured.

The NBFC-MFI loans were highly vulnerable to shocks arising from natural calamities, local political interference, and over-indebtedness, among other factors. There is still a high preponderance of these loans in SFBs that had their origins in an NBFC-MFI. Over the last 4-5 years, these SFBs have been working assiduously to have a balanced mix of secured and unsecured loans.

DIVERSIFIED PORTFOLIO When it came to getting an “in-principle” regulatory approval,

HIGHER TRANSITION

Small banks hold on to upgrade plans

SIZE MATTERS. Why the ‘universal banking licence’ is proving irresistible despite the RBI’s stringent eligibility criteria



AU SFB, which was the first SFB off the block to submit its application (on September 3, 2024) for a UB licence, may have had it easy. Apart from fulfilling the eligibility for UB transition, it also has a well-diversified portfolio.

AU SFB’s gross advances portfolio was well-diversified even as of June-end 2024 (if one considers this as the reference point for applying for a licence), with retail assets accounting for 72 per cent of its loan book, followed by commercial assets (21 per cent), and credit cards and others (3.5 per cent each).

Ujjivan SFB, which applied for a UB licence in February 2025, had a high proportion of unsecured loans (61 per cent) as at December-end 2024.

The bank, in its April 2026 exchange filing, observed that the RBI took note of its recent efforts to diversify its loan portfolio. However, the central bank was of the view that there is scope for progress in this area.

Therefore, the RBI has returned the bank’s application and advised it to consider applying again after demonstrating a diversified loan portfolio.

Jana SFB, which applied for a UB licence in June 2025, had a high proportion of secured advances (70 per cent) as at March-end 2025. Yet its application could not pass muster

with the RBI. Fitting the eligibility criteria alone seems not enough.

The regulator appears to be laying emphasis on the qualitative aspects of a bank’s financial performance and operations too.

The “returning” of an application doesn’t mean the end of the road for Jana SFB or Ujjivan SFB. Both Bengaluru-headquartered banks can approach the regulator again for a UB licence once they fulfil all norms.

KEY REQUIREMENTS

The eligibility criteria for an SFB’s transition to a universal bank include having a scheduled status with a satisfactory performance record for at least five years; listing of shares; having a minimum net worth of ₹1,000 crore; and meeting the prescribed capital to risk-weighted assets ratio (CRAR).

Further, an SFB should have clocked net profit in the last two financial years, and its gross non-performing asset (GNPA) and net non-performing asset (NNPA) should be less than or equal to 3 per cent and 1 per cent, respectively.

Sanjeev Nautiyal, MD and CEO, Ujjivan SFB, told analysts that the regulator, while returning the bank’s application, had acknowledged its ongoing efforts to diversify its loan portfolio.

“We shall continue to engage with the RBI and re-apply as per their constructive guidance at an appropriate time, demonstrating a diversified portfolio. We remain committed to our universal banking aspirations,” he said.

Nautiyal emphasised that Ujjivan SFB would continue to strengthen the secured book to ensure the UB journey is palatable, maintaining the profitability underpinnings while also ensuring that the secured-to-unsecured loans ratio is better than what the bank had shown the RBI.

“So, this will be a self-discovery, I would say. But certainly, we will calibrate and decide at what ratio, by what time... so that we are in a position to apply to the RBI. For this year, I can only guide that our secured portfolio would be a little upwards of 56 per cent,” Nautiyal said.

DEPOSIT TARGET

Ajay Kanwal, MD and CEO, Jana SFB, said during a recent analyst call: “We would get back to working on re-submitting the application... we needed the audited results to be completed. And we have maintained gross NPA of 3 per cent and net NPA of 1 per cent. So, at least these are not the approval criteria, but these are the gating criteria for an application.

“We are diversified. We continue to diversify (loan portfolio). So we do think we probably meet that criteria. But yes, the work to resubmit the application will start now.”

Kanwal emphasised that Jana SFB’s interest in applying for a UB licence is largely from a liability book standpoint.

“We thought the velocity of deposits and the cost of deposits will improve as we change our name and drop the words ‘small finance’. We still think we have a strong business case in our numbers,” he said.

STRESS FACTOR

Karthik Srinivasan, Group Head—Financial Sector Ratings, ICRA, noted that over the last two years the microfinance sector has hit a bad patch. So the SFBs that were originally MFIs diversified into MSME lending, which is also seeing stress.

“So, at a sector level, MFI is seeing stress, SME is also seeing stress. So the RBI may be wanting to hold back on licensing for some time. This is just my hunch,” he said.

Srinivasan highlighted the SFBs’ argument that since their name carries the tag “small finance”, they find it difficult to reach out to depositors, including tapping government business.

“So, the moment the ‘small finance’ tag is removed it’ll be a bit more easier for these banks to raise deposits,” he said.

SECURED LENDING

Upon conversion into a universal bank, while the liability side will undergo a change, with the banks gaining access to cheaper and granular deposits, it is unlikely that they will jump into wholesale lending.

Referring to the benefits in an SFB converting into a UB, Baskar Babu R, MD and CEO, Suryoday SFB, said: “I think the cost of deposits will reduce by 50 to 70 basis points. And most of us want to go deeper into secured lending. For this, we have to have a better cost of funds.”

Babu underscored that Suryoday SFB is not in a hurry to apply for a UB licence. “Let the larger ones (SFBs) convert first. Based on their experience, we will explore,” he said.

For an SFB, the advantages inherent in converting to a UB include lower capital requirement (lower capital to risk-weighted assets ratio requirement at 11.5 per cent against 15 per cent for SFBs), lower priority sector lending target of 40 per cent against 60 per cent, and access to cheaper deposits.

While the idea of converting into a universal bank may be irresistible, SFB chiefs will cross the river by feeling the stones, mindful of the fact that one swallow (AU SFB’s licence to convert into a UB) does not make a summer.

Keeping microfinance’s revival well-funded

The new credit guarantee fund offers a crucial lifeline to a sector that is indispensable in meeting financial inclusion goals



JIJI MAMMEN

The credit guarantee fund of microfinance institutions (CGSMFI 2.0) has come as a boon to a sector that has been reeling under liquidity shortage for more than a year. Many lenders kept away from MFIs or enhanced their underwriting norms in the past two years. Some institutions that had supported the microfinance sector even during some of the worst times in the past have stepped back at the moment, mirroring the sector in uncertainty. At this juncture, the announcement of the CGSMFI 2.0 scheme for guaranteeing funders’ money has come as a great relief.

Similarly to a fund created during the Covid-19 pandemic, the CGSMFI 2.0 has almost three times the allocation at ₹20,000 crore. It has been designed to ensure that every institution can benefit equitably. Additionally, 15 per cent has been earmarked exclusively for small and mid-segment MFIs.

The scheme also prescribes a cap of 20 per cent of assets under management (AUM) for individual borrowers to ensure the money is better distributed. The maximum amount eligible for each institution is capped at ₹100 crore, ₹200 crore or ₹1,000 crore, depending on the size of the institution.

The limit for the larger MFIs was increased subsequently.



HAND-IN-HAND. Microfinance enables access to credit without collateral for small businesses

Similarly, the scheme has been extended up to August 31, demonstrating the government’s commitment.

Thankfully, the scheme comes at a time when the microfinance sector is showing signs of revival. The past few months have seen a positive trajectory of disbursements and outstanding. There are indications that disbursements in May may have been much higher. The funding under the guarantee scheme would speed up the revival.

SELF-REGULATION

The microfinance sector — which enables easy access to credit without collateral for low-income individuals, marginalised groups, and small entrepreneurs — was hit badly during the Covid-19 pandemic. The borrowers in this sector

are among the most vulnerable in such calamities. The sector catered to the post-pandemic surge in demand for credit. But the higher credit flow without a commensurate revival of the economy saw some households ending up in an overleveraged position, leading to higher indebtedness and sector-wide stress.

As a corrective measure, self-regulatory organisations came up with a set of guardrails, first in July 2024 and again in April 2025. The guardrails were finalised jointly with the CEOs of MFIs and their diligent implementation has put the sector back in order.

There has been an improvement in several parameters in the last few quarters. The portfolio size declined from ₹4.4 lakh crore in March 2024 to ₹3.71 lakh crore in March 2025.

It had dipped below ₹3.2 lakh crore during the year, but showed growth in the last two months of the financial year to close at ₹3.34 lakh crore, below the previous year’s close.

However, the numbers for May would be more encouraging, given the higher lending. When it comes to the portfolio at risk (PAR) value, the PAR 30-179 days has improved from 6.65 per cent in March 2025 to 2.31 per cent in March 2026. Similarly, the PAR 90-plus improved from 3.93 per cent to 1.49 per cent. The PAR 179-plus, which surged during this period, has stabilised in the last six months. Here again the numbers for non-banking financial companies (NBFCs) and NBFC MFIs are much better than the average.

Lack of funding is the major factor impeding a quick revival.

Reduced funding support has lowered the disbursement during FY2025-26 to ₹2.52 lakh crore against a high of ₹3.89 lakh crore in 2023-24.

CONFIDENCE BOOSTER

The CGSMFI 2.0 scheme is expected to bring cheer back in the industry with improved lender confidence and more funding support.

The guarantee scheme is mainly a confidence-building measure. The experience with CGSMFI 1.0 showed that only a small amount was invoked from the guarantee fund — ₹10-12 crore against ₹7,500 crore utilised. But the comfort offered to lenders is huge.

While a larger MFI can raise funds easily with or without the guarantee, it is the smaller or mid-sized MFI that will benefit from the scheme. The government’s offer of 70-80 per cent guarantee cover should prove a confidence booster for lenders.

The microfinance sector, which has seen several ups and downs in the past, is poised for 15-20 per cent growth during the current year. The fund flow needs to keep up with this growth. The micro-lenders, on the other hand, need to keep their guards on and ensure there is no backslide to challenging times again.

Let us not forget that a diverse country like India needs many different types of institutions, and MFIs are one such that cater to the bottom of the pyramid. They are a great enabler of financial inclusion.

The writer is ED and CEO of Sa-Dhan. The views expressed are personal

